

Filters applied:

Legal act = Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries, Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014- MDP, Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014- Secondary Markets

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ESMA_QA_2560	03-06-2025
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ESMA_QA_1127	04-12-2019
ESMA_QA_1698	07-10-2019
ESMA_QA_1685	29-07-2019
ESMA_QA_1572	12-07-2019
ESMA_QA_1571	12-07-2019
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ESMA_QA_1983	01-06-2018
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Title	Submission Date
ESMA_QA_1573	07-02-2018
ESMA_QA_1570	18-12-2017
ESMA_QA_1569	18-12-2017
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ESMA_QA_1712	14-12-2017
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ESMA_QA_2560

Submission Date

03/06/2025

Status: Forwarded to EC/Public Consultation/Other

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Topic

Inducements

Additional Legal Reference

Article 39a, Paragraph 1

Subject Matter

Payment for order flow (PFOF) prohibition: scope for rebates or discounts on transaction fees or any other benefits for investment firms acting on behalf of retail

clients or opt-in professional clients

Question

Which type of rebates or discounts on transaction fees or any other benefits for investment firms acting on behalf of retail clients or opt-in professional clients are out of the scope of the prohibition to receive payment for order flow specified in Article 39a MiFIR?

ESMA_QA_2559

Submission Date

03/06/2025

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Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Topic

Inducements

Additional Legal Reference

Article 39a

Subject Matter

Payment for order flow (PFOF) prohibition and OTC execution of client orders

Question

Does the prohibition of receiving payment for order flow (PFOF) apply to situations where the order is not executed on a trading venue, for instance for products traded over the counter (OTC)?

ESMA_QA_2558

Submission Date

03/06/2025

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Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Topic

Inducements

Additional Legal Reference

Article 39a

Subject Matter

Payment for order flow (PFOF) prohibition and client instructions for order executions

Question

Does the prohibition of receiving payment for order flow (PFOF) apply to situations where the client provided a specific instruction to the investment firm to execute the order on a particular execution venue?

ESMA_QA_2557

Submission Date

03/06/2025

Status: Forwarded to EC/Public Consultation/Other

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Topic

Inducements

Additional Legal Reference

Article 39a, Paragraph 1

Subject Matter

Investment firms' use of rebates and discounts to lower fees for clients under the payment for order flow (PFOF) prohibition

Question

Are investment firms allowed to use rebates and discounts to lower fees for clients?

ESMA_QA_2533

Submission Date

24/04/2025

Status: Question Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Level 2 Regulation

Regulation 2017/583 - RTS on transparency requirements in respect of non-equity
financial instruments (RTS 2)

Topic

Non-equity transparency

Additional Legal Reference

Draft RTS 2 as published by ESMA on 16 December 2024

Subject Matter

Post-trade deferral regime for bonds, ETCs, ETNs and SFPs under the draft RTS 2 published by ESMA on 16 December 2024

Question

a. Regarding the new post-trade deferral regime categories 3 and 4 for bonds: Which of the following publications (i.e., price-deferred trade, volume-deferred trade or both) will be required to contain the flags 'LLF3' and 'LIF4'? (Please see Draft RTS 2, paragraph 78 on page 29 and Annex II, Table III on page 160).

b. Regarding the new post-trade deferral regime for ETCs, ETNs and SFPs: Which of the following publications (i.e., price-deferred trade, volume-deferred trade or both) will be required to contain the flag 'DEFF'? (Please see Draft RTS 2, Annex II, Table III on page 161).

ESMA_QA_2306

Submission Date

16/10/2024

Status: Question Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Level 2 Regulation

Regulation 2017/583 - RTS on transparency requirements in respect of non-equity
financial instruments (RTS 2)

Topic

Non-equity transparency

Subject Matter

Questions related to package orders/transactions

Question

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 4.4]

- a) How is the requirement for a package order that 'Each component of the transactions bears meaningful economic or financial risk related to all the other components' to be interpreted?
- b) Can package orders also include equity instruments? If yes, how is pre- and post-trade transparency applied?
- c) When does an investment firm apply the systematic internaliser obligations on a package order level?
- d) How should systematic internalisers determine whether package orders which are not liquid as a whole are subject to the transparency obligations in non-equity instruments under Article 18(1) or 18(2) of MiFIR?
- e) Which party to a package transaction is required to make the transactions public via an APA?
- f) Can package orders (Article 2(1)(49)(b) of MiFIR) also include instruments that are not admitted to trading or traded on a venue?
- g) Where an investment firm buys a newly issued bond in the primary market as the result of an allocation and funds its investment by selling another bond to the lead manager of the issuance, simultaneously with and contingent upon the investment in the new issue, would this qualify as a package order for the purpose of pre-trade transparency?

ESMA_QA_2204

Submission Date

27/05/2024

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Level 2 Regulation

RTS 22 - Regulation 2017/590 on the reporting of transactions to competent authorities

Topic

* Transaction reporting

Subject Matter

Reporting of accumulator contracts

Question

- (a) How should accumulators - i.e. derivative contracts whereby the buyer commits to buy a predefined number of underlying financial instruments at a predefined price, per day, over a certain “accumulation” period - be classified?
- (b) Should the IF report the single transactions executed when settling the accumulator contract?
- (c) Should the IF report the transactions concluded with third parties to secure the financial instruments to be sold to the accumulator’s buyer?
- (d) How should the accumulator contract be reported?

ESMA Answer

24-05-2024

Original language

- (a) For the purposes of transaction data reporting, accumulators should be classified as either forwards or options, depending as to whether they embed option features (e.g. knock-out price or gearing ratio).
- (b) No.
- (c) Yes, they should be reported according to the general rules, as applicable.
- (d) Accumulators should be reported as displayed below:

RTS 22 Field Number	RTS 22 Field Name	Content to be reported
30	Quantity	Number of derivative contracts purchased.
33	Price	Price at which the buyer has committed to purchase the underlying financial instruments during the accumulation period. <i>[For contracts classified as options]</i> The premium of the derivative contract per underlying.
38	Up-front payment	If applicable, the monetary value of any up-front payment.
42	Instrument full name	Full name of the financial instrument, which must contain the term "accumulator".
43	Classification	JE**** or O*****
46	Price multiplier	Maximum number of shares to be purchased over the entire accumulation period.
47	Underlying ISIN	ISIN of the underlying.

[Only for contracts classified as options]

51	Strike price	Pre-determined price at which the holder will have to buy the underlying financial instrument.
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55	Expiry date	Expiration date of the accumulator.
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ESMA_QA_2129

Submission Date

11/03/2024

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Level 2 Regulation

Directive 2017/593 - MiFID II Delegated Directive

Topic

Product governance

Additional Legal Reference

Articles 9(9) and 10(2)

Subject Matter

Integration of sustainability within the MiFID II product governance requirements

Question

When conducting the negative target market assessment for a product that does not consider sustainability factors, should a firm also consider any clients' sustainability-related objectives the product is not compatible with?

ESMA Answer

11-03-2024

Original language

Response provided by the European Commission:

Yes. According to Article 9(9) and 10(2) of Commission Delegated Directive 2017/593, any clients' sustainability-related objectives shall be considered when specifying the type(s) of clients whose needs, characteristics and objectives the product is compatible with ('positive target market assessment'). This also applies to the identification of any group(s) of clients whose needs, characteristics and objectives the product is not compatible with ('negative target market assessment'). In practical terms, whether, and if so, which sustainability-related objectives may be relevant for the identification of the negative target market for a particular product that does not consider sustainability factors, will depend on the characteristics of the product. Indeed, firms are required to consider whether the product would be incompatible with some sustainable related objectives but this evaluation might

conclude, in some specific situations, that there is no incompatibility with those objectives, so no negative target market would be determined in those specific situations for the criterion “sustainability related objective”. Reversely, in other situations the consideration should lead to the identification of a negative target market in relation to the product’s sustainability-related objectives.

Status of the answers provided by the European Commission: *The answers provided by the European Commission are provided pursuant to Article 16b(5) of Regulation 2010/1095 to clarify provisions already contained in the applicable legislation. They do not extend in any way the rights and obligations deriving from such legislation nor do they introduce any additional requirements for the concerned operators and competent authorities. The answers are merely intended to assist natural or legal persons, including competent authorities and Union institutions and bodies in clarifying the application or implementation of the relevant legal provisions. Only the Court of Justice of the European Union is competent to authoritatively interpret Union law. The views expressed in the internal Commission Decision cannot prejudice the position that the European Commission might take before the Union and national courts.*

ESMA_QA_1977

Submission Date

13/10/2023

Status: Question Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Level 2 Regulation

Regulation 2017/581 - RTS on access in respect of central counterparties and
trading venues (RTS 15)

Topic

Access to CCPs and trading venues

Historic Question Reference

ESMA_QA_985

Subject Matter

Fees charged to CCPs in relation to access to trading venues

Question

To what extent can a trading venue apply different fee schedules to CCPs under Article 36 of MiFIR? Is it possible for a trading venue to apply different fee schedules depending on whether a CCP has close links to the trading venue?

ESMA_QA_1559

Submission Date

10/08/2023

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Non-equity transparency

Subject Matter

Geographical scope of the temporary suspension of transparency

Question

Would the temporary suspension of transparency requirements apply to all the venues on which the class of instruments is traded or rather on venue-by-venue

basis?

ESMA Answer

15-11-2017

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 4.9]

While the calculations to identify whether liquidity has fallen below the thresholds specified under Article 16 of RTS 2 have to be performed at EU level, the actual suspension of the transparency obligations remains under the competences of each competent authority (CA) and therefore has to be activated on a jurisdiction-by-jurisdiction basis.

As a consequence, for classes of financial instruments where trading takes place on venues located in different Member States, the CA of each of those Member States will have the possibility, where the conditions set out in Article 16 of RTS 2 are met, to activate the temporary suspension mechanism independently of the decision to be taken by others.

ESMA_QA_1370

Submission Date

05/07/2023

Status: Question Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Pre-trade transparency waivers

Subject Matter

Q&A on cross orders in non-equity instruments below LIS

Question

Is it possible to execute cross orders in liquid non-equity instruments below the large in scale (LIS) thresholds on a trading venue?

ESMA_QA_987

Submission Date

30/05/2023

Status: Forwarded to EC/Public Consultation/Other

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Level 2 Regulation

Regulation 2017/581 - RTS on access in respect of central counterparties and
trading venues (RTS 15)

Topic

Access to CCPs and trading venues

Subject Matter

Fees charged to CCPs in relation to access to trading venues

Question

Recital 5 of RTS 15 MiFIR sets out that charging fees in a discriminatory way so as to deter access should not be permitted. Where a trading venue has close links to a CCP, should additional considerations be taken into account when considering whether fees are discriminatory, and if so, which considerations?

ESMA_QA_986

Submission Date

30/05/2023

Status: Question Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Level 2 Regulation

Regulation 2017/581 - RTS on access in respect of central counterparties and
trading venues (RTS 15)

Topic

Access to CCPs and trading venues

Subject Matter

Fees charged to CCPs in relation to access to trading venues

Question

Article 11 of RTS 15 MiFIR permits a trading venue to charge fees to a CCP in relation to access to the trading venue, which can include fees charged to cover one-off and ongoing costs. Can a trading venue that has already granted access to a CCP be permitted to charge new fees, whether one-off or ongoing, that were not agreed at the time of access, and if so, under which circumstances?

ESMA_QA_985

Submission Date

30/05/2023

Status: Forwarded to EC/Public Consultation/Other

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Level 2 Regulation

Regulation 2017/581 - RTS on access in respect of central counterparties and
trading venues (RTS 15)

Topic

Access to CCPs and trading venues

Subject Matter

Fees charged to CCPs in relation to access to trading venues

Question

Article 11 of RTS 15 MiFIR permits a trading venue to charge fees to a CCP accessing the trading venue provided that it is the same schedule of fees and rebates for each CCP with regard to the same or similar financial instruments, unless a different fee schedule can be objectively justified. Where (a) a CCP has close links to a trading venue, (b) such CCP does not pass on the fees charged to it by that trading venue, and (c) the aggregated trading and clearing fees for trades executed and cleared by such trading venue and its linked CCP are therefore lower relative to the fees for the same trades cleared with non-affiliated CCPs, would the schedule of fees and rebates applicable to all CCPs accessing the trading venue be considered to be the same schedule of fees and rebates?

ESMA_QA_751

Submission Date

31/03/2023

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

* Transaction reporting

Additional Legal Reference

Table 2 of Annex IV of RTS 2

Subject Matter

Settlement location

Question

Field 14 “Delivery/cash settlement location” in Table 2 of Annex IV of RTS 2 (transparency reference data), as amended by [Amending Regulation RTS 2], should be populated with a standard code (Energy Identification Code – “EIC”) for electricity and gas contracts. How should Field 14 “Delivery/cash settlement location” for electricity and gas contracts be reported for a) cash settled contracts; b) contracts for which an EIC is not available? [MiFID II and MiFIR transparency topics, Section 3, Question 25]

ESMA Answer

31-03-2023

Original language

Field 14 “Delivery/cash settlement location” should be interpreted and reported in the same way for cash settled and physically settled contract with regards to electricity and gas contracts. For example, Field 14 “Delivery/cash settlement location” for a cash settled contract on German power should be reported in the same manner as if the contract was physically settled, i.e. with the EIC “10YDE-RWENET---I”.

The list of available EIC is managed and maintained by ENTSO-E^[1]. Regarding electricity and gas contracts for which an EIC is not available or not appropriate (for example, a market area outside the Energy Internal European Market, or a contract referencing an index), Field 14 “Delivery/cash settlement location” should be populated with an ad-hoc code meeting the following requirements:

1. The format should be the same as the format of EIC, i.e. {ALPHANUM-16};

2. Generic values such as “CASH”, “UNKNOWN” or the name of the CCP clearing the contract should not be used;
3. The text in the ad-hoc code should provide a- clear indication of the reference of the contract. Valid ad-hoc codes that are currently in use, are provided in the table below. You may contact data-statistics@esma.europa.eu to request an update of the list.

Contract	Ad-hoc code for Field 14	Added on
Japanese Power Futures - Tokyo	10YJP-TOKYO---AR	31/03/2023
Japanese Power Futures - Kansai	10YJP-KANSAI--AR	31/03/2023
LNG Japan/Korea Futures	JP-KR-JKM----LNG	31/03/2023

[1] <https://www.entsoe.eu/data/energy-identification-codes-eic/eic-approved-codes/>

ESMA_QA_740

Submission Date

31/03/2023

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Level 2 Regulation

RTS 23 - Regulation 2017/585 on the data standards and formats for financial instruments reference data and technical measures in relation to arrangements to be made by ESMA and competent authorities

Topic

Instrument Reference data

Subject Matter

LEI of sovereign issuers

Question

What LEI should be used to report in FIRDS the issuer of sovereign bonds issued by an EEA member state?

ESMA Answer

31-03-2023

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 2.8]

Reporting entities should refer to the list maintained by GLEIF, available at: <https://search.gleif.org/#!/search/> and report the LEI pertaining to the sovereign entities included in the below list:

Country	GLEIF Name	LEI
Austria	Republik Österreich	529900QWWUI4XRVR7I03
Belgium	The Kingdom of Belgium	549300SZ25JZFHRHWD76

Bulgaria	Bulgarian National Bank	5299001WEKCK7E65TI48
	Ministry of Finance of the Republic of Bulgaria	529900PG0XCL4LICL838
Croatia	Ministarstvo financija	74780000O00QGQ7CER13
	Hrvatska narodna banka	74780000X0J87XKFIL77
Cyprus	REPUBLIC OF CYPRUS	213800IOEYYAHPDLUL60
Czech Republic	Česká republika - Ministerstvo financí	3157007EFDLQABN47912
Denmark	Danmarks Nationalbank (Government Debt Management)	549300AHYJ0OMBLIL335
Estonia	Eesti Vabariigi Rahandusministeerium	254900EIG007C6C9R437
	Eesti Pank	6YJ60TG0PYO45FO7Q425
Finland	Republic of Finland, Bonds / Suomen valtio JVK:t	743700M6Y2OQRVSBRD14
France	Direction Generale du Tresor	969500KCGF3SUYJHPV70

Germany	Bundesrepublik Deutschland	529900AQBND3S6YJLY83
Greece	Trapeza Tis Ellados	529900SL3K21WAN6X611
	Hellenic Republic-Ministry of Finance	2138003EKTMKZ5598902
Hungary	Government Debt Management Agency Pte.	5299008DH62LEB10JK83
Iceland	Central Bank of Iceland	549300K5GD3JPA2LLG98
Ireland	National Treasury Management Agency	549300KXBEJAOJ9OVF93
Italy	Repubblica Italiana	815600DE60799F5A9309
Latvia	Latvijas Republikas Valsts kase	25490002QDEB2KTLNK39
Lithuania	Lietuvos bankas	5299002QI7G5XEIYAO60
	Ministry of Finance (State Treasury Department)	529900F7Y171QF1RSU09
Luxembourg	Grand Duchy of Luxembourg	22210065LIUFB00MNF63
Malta	Republic of Malta	549300CZVZYMSGX6X78

Netherlands	De Staat der Nederlanden	254900G14ALGVKORFN62
Norway	Finansdepartementet	549300L0BT3FJTN9MX24
Poland	Skarb Państwa Rzeczypospolitej Polskiej	259400R9L8QEP0TPXS31
Portugal	República Portuguesa (Republic of Portugal)	549300P6U1FJ3IMP7K42
Romania	Ministerul Finantelor Publice	315700IASY927EDWBK92
Slovakia	Ministerstvo financií Slovenskej republiky	097900BHFM0000074794
Slovenia	Republika Slovenija	485100000LWQHIX4XX88
Spain	Secretaría General del Tesoro y Financiación Internacional	9598007A56S18711AH60
Sweden	Riksgäldskontoret	ERE94C0BSULG2RM19605

ESMA_QA_632

Submission Date

09/12/2022

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Level 2 Regulation

RTS 22 - Regulation 2017/590 on the reporting of transactions to competent authorities

Level 3 Regulation

Guidelines on transaction reporting, order record keeping and clock synchronisation under MiFID II

Topic

* Transaction reporting

Subject Matter

National identifier for stateless natural persons

Question

What ISO 3166-1 country code should trading venues and investment firms use to identify stateless natural persons for the purposes of transaction reports?

ESMA Answer

31-03-2023

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 24.14]

When identifying stateless natural persons, trading venues and investment firms should use the ISO 3166 code “ZZ”, followed by a CONCAT code generated in accordance with Article 6(4) of Commission Delegated Regulation (EU) 2017/590 (RTS22).

ESMA_QA_603

Submission Date

06/10/2022

Status: Question Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Level 2 Regulation

RTS 22 - Regulation 2017/590 on the reporting of transactions to competent authorities

Level 3 Regulation

Guidelines on transaction reporting, order record keeping and clock synchronisation under MiFID II

Topic

* Transaction reporting

Additional Legal Reference

Subject Matter

Concept of underlying - reverse convertible bonds and reverse convertible notes

Question

Does the concept of an underlying for the purposes of Article 26(2)(b) of MiFIR extend to convertible bonds, reverse convertible bonds and reverse convertible notes?

ESMA_QA_1315

Submission Date

23/09/2022

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Ancillary activity

Subject Matter

Simplified approach for regulatory capital requirements

Question

CDR 2021/1833 refers only to Article 360 of the CRR, while the 'simplified approach for calculating regulatory capital requirements' is contained in CRR Articles 357,

358 and 360. Is the text in CDR 2021/1833 self-contained or should firms refer to the whole of CRR?

ESMA Answer

23-09-2022

Original language

[ESMA70-872942901-36 Commodity derivatives, Ancillary service, Q&A 13]

Article 5(1)(2)(3) of CDR 2021/1833 replicates the content of Articles 360(1) and 357(3) of Regulation (EU) No 575/2013 of 26 June 2013 (CRR). CDR 2021/1833 contains the stand-alone test that needs to be performed without firms having to refer to the rest of the articles that relate to commodity derivatives in the CRR. However, firms may find it useful to refer to the EBA Q&A on clarification of the treatment of positions in commodities for the purposes of calculating net and gross positions according to Article 360(1) of CRR.

ESMA_QA_1514

Submission Date

05/09/2022

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Third country issues

Subject Matter

Third country issues - Transparency

Question

Are transactions executed between a branch and its head office subject to
transparency requirements?

ESMA Answer

05-09-2022

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 9.3]

Answer provided by the European Commission in accordance with article 16b(5) of the ESMA Regulation (please see the related disclaimer in section 1 of this document)

No, transfers of financial instruments between two branches of the same legal entity or a branch and its parent company are not subject to the transparency or transaction reporting requirements, as they do not entail a change in the ownership of financial instruments.

ESMA_QA_1508

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11/07/2022

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Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Reporting of Emission Allowances

Question

How should trading venues record phase 4 emission allowances and derivatives thereof under MiFIR Article 25 and RTS 24 for the purpose of the order book record

keeping?

ESMA Answer

11-07-2022

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 19.3]

Trading venues should record phase 4 emission allowances under RTS 24 Field 18 - Financial instrument identification code with the following ISINs displayed on European Commission's website:

- EU000A2QMW50 for *phase 4 emission allowance*
- EU000A2QMW68 for *phase 4 emission aviation allowance*

In case of derivatives on phase 4 allowances, trading venues should record these instruments with the ISIN assigned by the National Numbering Agency in Field 18 - Financial instrument identification code.

Example:

RTS 24 Field number	RTS 24 Field name	Value	Content to be reported ^[1]
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18	Financial instrument identification code	EU000A2QMW50 or EU000A2QMW68	ISIN displayed on the European Commission 's website and assigned by the relevant National Numbering Agency.
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[\[1\]](#) In case of further clarification of the description of the fields are needed these
are provided in this column

ESMA_QA_1507

Submission Date

11/07/2022

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Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Reporting of Emission Allowances

Question

In case of phase 4 emission allowances or derivatives thereof reported with an ISIN which is different from the ISIN displayed on the European Commission website,

- a) should trading venues and SIs amend the record in FIRDS with the correct ISIN displayed on the European Commission's website?
- b) how should trading venues amend the record concerning phase 4 emission allowances in FIRDS with the correct ISIN displayed on the European Commission's website?
- c) how should trading venues and SIs amend the record concerning futures on phase 4 emission allowances in FIRDS with the correct ISIN displayed on the European Commission's website?

ESMA Answer

11-07-2022

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 19.2]

1. Yes
2. Trading venues that previously submitted *phase 4 emission allowances* with a different ISIN in FIRDS (i.e. not the EU ISIN for phase 4) should:
 1. Terminate the incorrect *phase 4 emission allowances* in FIRDS, and
 2. Resubmit in FIRDS the *phase 4 emission allowance* with the ISIN for phase 4 (i.e. EU000A2QMW50 or EU000A2QMW68) displayed by the European Commission.
3. Trading venues and SIs that previously submitted futures on *phase 4 emission allowances* with a different underlying ISIN (i.e. not the EU ISIN for phase 4) as underlying should:
 1. Terminate the future in FIRDS, and
 2. Resubmit in FIRDS the future on phase 4 emission allowance with the ISIN of the phase 4 emission allowances as underlying (i.e.

EU000A2QMW50 or EU000A2QMW68) displayed by the European Commission.

ESMA_QA_1506

Submission Date

11/07/2022

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Reporting of Emission Allowances

Question

How should Trading Venues and SIs report emission allowances (i.e., European Union Allowances (EUAs) and European Union Aviation Allowances (EUAAs))

auctioned for the phase 4 of the EU Emission Trading System (ETS) (hereafter “phase 4 emission allowances” or derivatives thereof under MiFIR Article 27 and RTS 23?

ESMA Answer

11-07-2022

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 19.1]

The ISIN displayed on [European Commission's website](#) to phase 4 emission allowances should be reported in FIRDS under RTS 23. Field 1 – Instrument identification code **should be reported with ISIN EU000A2QMW50 for EU allowances and EU000A2QMW68 for EU aviation allowances**. In case of derivatives having as underlying a phase 4 emission allowance, Field 26 – Underlying instrument code should be populated with EU000A2QMW50 for EU allowances and EU000A2QMW68 for EU aviation allowances. The table below clarifies the different reporting scenarios based on the type of emission allowance. The fields displayed in the tables are all RTS 23 fields that are applicable to emission allowances or derivatives thereof in the [FIRDS CFI validation rules](#).

Example 1 – Reporting of phase 4 EUA (spot)

RTS 23 Field number	RTS 23 Field name	Value	Content to be reported ^[1]
1	Instrument identification code	EU000A2QMW50	ISIN displayed on the European Commission's website.
2	Instrument full name	EUA Allowance Units Phase 4	
3	Instrument classification	ITNXXX	
4	Commodities or emission allowance derivative indicator	No	
5	Issuer or operator of the trading venue identifier	LEI	LEI of the regulated market appointed as an auction platform pursuant to COMMISSION REGULATION (EU) No 1031/2010'
6	Trading Venue	Segment {MIC} of Trading Venue	

8	Request for admission to trading by issuer	No
11	Date of admission to trading or date of first trade	10/04/2022
12	Termination date	10/04/2024
13	Notional currency 1	EUR

Example 2 – Reporting of a future on phase 4 emission allowance

RTS 23

Field number	RTS 23 Field name	Value	Content to be reported ^[2]
1	Instrument identification code	{ISIN} of financial instrument	
2	Instrument full name	XXX FUTURE ON EEA	

3	Instrument classification	FCNPSX
4	Commodities or emission allowance derivative indicator	Yes
5	Issuer or operator of the trading venue identifier	{LEI} of issuer
6	Trading Venue	Segment {MIC} of Trading Venue
8	Request for admission to trading by issuer	No
11	Date of admission to trading or date of first trade	10/04/2022
12	Termination date	10/04/2023
13	Notional currency 1	EUR
24	Expiry date	10/04/2023

25	Price Multiplier	1000	Lot size /contract size , e.g. for exchange traded derivatives, 1 lot corresponds to 1,000 allowances or 1,000 tCO ₂ . EUAs
26	Underlying Instrument code	EU000A2QMW50	ISIN displayed on the European Commission's website.
28	Underlying index name		Optional
29	Term of the underlying index		Optional
34	Delivery type	'PHYS'	
35	Base product	ENVR	
36	Sub product	EMIS	
37	Further sub product	EUAE	
38	Transaction type	OTHR	

39	Final price type	EXOF
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Example 3 – Reporting of option on a future on phase 4 emission allowance

RTS 23

Field number	RTS 23 Field name	Value	Content to be reported ^[3]
1	Instrument identification code	{ISIN} of financial instrument	
2	Instrument full name	XXX OPTION ON FUTURE - EEA	
3	Instrument classification	OPEFPS	
4	Commodities or emission allowance derivative indicator	Yes	

5	Issuer or operator of the trading venue identifier	{LEI} of issuer	
6	Trading Venue	Segment {MIC} of Trading Venue	
8	Request for admission to trading by issuer	No	
11	Date of admission to trading or date of first trade	10/04/2022	
12	Termination date	10/04/2023	
13	Notional currency 1	EUR	
24	Expiry date	10/04/2023	
25	Price Multiplier	1000	Lot size /contract size , e.g. for exchange traded derivatives, 1 lot corresponds to 1,000 allowances or 1,000 tCO ₂ . EUAs

26	Underlying Instrument code	{ISIN} of the underlying future contract	ISIN of the underlying future
28	Underlying index name		Optional
29	Term of the underlying index		Optional
30	Option type	'PUTO'	
31	Strike price	90.00	Price at which the underlying is purchased or sold when the option is exercised
31	Strike price currency	'EUR'	
33	Option exercise style	'EURO'	
34	Delivery type	'PHYS'	
35	Base product	ENVR	
36	Sub product	EMIS	

37	Further sub product	EUAE
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38	Transaction type	OTHR
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39	Final price type	EXOF
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[1] In case of further clarification of the description of the fields are needed these are provided in this column

[2] In case of further clarification of the description of the fields are needed these are provided in this column

[3] In case of further clarification of the description of the fields are needed these are provided in this column

ESMA_QA_1509

Submission Date

25/03/2022

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Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Reporting of Nominal value per unit and minimum traded value

Question

How should field 17 (Nominal value per unit/minimum traded value) be populated in FIRDS?

ESMA Answer

25-03-2022

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 22.1]

The population of field 17 should be in line with the characteristics defined in the prospectus, as indicated in its own prospectus or admission document. In case the instrument was issued in units, field 17 should be populated with the nominal value per unit. If the instrument was issued in nominal amount (e.g. instrument priced in percentages), then field 17 should be populated with the minimum traded value (i.e. the minimum specified denominations, in case such denominations are available, otherwise the lowest specified multiples).

ESMA_QA_1503

Submission Date

25/03/2022

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

* LEI (Legal Entity Identifier)

Subject Matter

MiFIR data reporting - LEI of the issuer

Question

How should operators of trading venue(s) and systematic internaliser(s) populate field 5 (issuer or operator of the trading venue identifier) of Table 3 of the Annex to

RTS 23 and related MAR RTS and ITS in case of depository receipts?

ESMA Answer

25-03-2022

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 2.7]

Field 5 should be populated with the LEI of the issuer of the financial instrument represented by the depository receipt in line with MAR Article 3 (1) (21)[\[1\]](#).

[\[1\]](#) For example, in case of a depository receipt on share A field 5 should be populated with the LEI of the issuer of share A and not of the depository receipt itself.

ESMA_QA_1512

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28/01/2022

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Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Double volume cap

Subject Matter

Transparency - Double Volume Cap

Question

When a trading venue starts operating or admits or trades an equity or equity-like financial instrument for the first time, who has the responsibility to check whether

the respective instrument is already subject to an EU level suspension under the Double Volume Cap mechanism?

ESMA Answer

28-01-2022

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 6.6]

Before a trading venue starts operating as well as before an instrument is admitted to trading or traded on a trading venue for the first time, that trading venue should verify whether the respective instrument(s) is(are) traded on other trading venues and is(are) subject to an EU level suspension under the Double Volume Cap mechanism. In case of an active suspension, the start of the operations or the admission to trading or trading can still take place but trading under the waivers as per Articles 4(1)(a) and 4(1)(b)(i) of MiFIR should not be allowed until the end of the suspension for the concerned instrument(s).

ESMA_QA_1502

Submission Date

19/07/2021

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

* LEI (Legal Entity Identifier)

Subject Matter

MiFIR data reporting - LEI of the issuer

Question

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 2.6]

(a) In case of a financial instrument issued by an Alternative Investment Fund (AIF) or; an undertakings for collective investment in transferable securities (UCITS) , which LEI code should be reported in the field 5 (Issuer or operator of the trading venue identifier) of RTS 23 and related RTS and ITS under MAR Article 4?

(b) In case of a financial instrument issued by an umbrella fund that is an AIF or an UCITS, which LEI code should be reported in the field 5 (Issuer or operator of the trading venue identifier) of RTS 23 and related RTS and ITS under MAR Article 4?

ESMA Answer

19-07-2021

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 2.6]

(a) The LEI of the fund (AIF^[1] or UCITS^[2]) should be reported in field 5 of RTS 23 and related RTS and ITS under MAR Article 4.

(b) If sub-funds are part of the umbrella fund structure, then the LEI of the sub-fund should be reported in field 5 of RTS 23.

^[1] As defined in Article 4(1)(a) of the AIFMD.

[2] As defined in Article 1(2) of the UCITS Directive.

ESMA_QA_1505

Submission Date

28/05/2021

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

Instrument Reference data

Subject Matter

MiFIR data reporting - Reporting of reference rates not included in RTS 23 and 22

Question

Following the creation of new risk-free rates, it is important to clarify how:

(a) Trading Venues and SIs should report financial instruments based on this rate

under RTS 23;

(b) MiFID investment firms should report this rate in transaction reports where the reference data fields have to be reported under RTS 22; and

(c) How other reference rates should be reported that are not explicitly included in RTS 23 and RTS 22.

(d) Are voluntary switch to risk-free rates considered reportable transactions under MiFIR Article 26?

(e) In case a financial instrument with a fallback rate is assigned a new ISIN, should reporting entities populate Field 1 with the new ISIN under RTS23?

ESMA Answer

28-05-2021

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 18.1]

At the time RTS 23 and RTS 22 were developed, [risk-free rates were not yet widely used in](#) contracts, therefore the list of standardised codes for reporting of reference rates specified in these Regulations did not include the code for these rates. Since there is no code, the free-text format is applicable for fields where the name of the rate should be populated. However, in order to ensure consistent reporting and enable the reconciliation of the reports in question, the 4-letter code assigned to risk-free rates, in the ISO 20022 standard should be populated in these fields. For instance, in the case of €STR it should be reported 'ESTR'.

(a) RTS 23 reporting by trading venues and SIs

Where applicable, the ISIN assigned for risk-free rates should be reported. For instance, in the case of €STR it should be reported as ISIN '[EU000A2X2A25](#)'. This

should be in addition to the 4-letter code of the rate 'ESTR'.

This would apply to the following fields:

Instrument type	RTS 23 Field number	RTS 23 Field name	Value
Bonds or other forms of <i>securitised debt</i>	19	Identifier of the index/bench- mark of a floating rate bond	'EU000A2X2A25'
	20	Name of index/ bench-mark of a floating rate bond	N/A ^[1]
Derivative and Securitised Derivatives	26	Underlying instrument code	'EU000A2X2A25'
	28	Underlying index name	'ESTR'
Interest Rate Derivatives	40	Reference rate	'ESTR'
	45	Floating rate of leg 2	'ESTR'

(b) RTS 22 reporting by MiFID investment firms

The ISIN assigned to a given rate should be reported, e.g. in the case of [€STR](#), "EU000A2X2A25" would be populated in the Underlying instrument code **(field 47)**. If an ISIN is not available for a given rate, this field should not be populated. The

Underlying index name **(field 48)** should be reported as “ESTR” in the free-text field, regardless of whether the ISIN is also reported in field 47.

(c) Reporting of other reference rates not included in RTS 22/23

Similarly, for other reference rates that are not included in the list of standardised codes in RTS 22 or RTS 23, the 4-letter code assigned to that reference rate in the ISO 20022 standard should be reported as described in ISO 20022 Benchmark Curve Name Code at the following [link](#). This is to the extent that such codes are available and the field(s) referred in the answers to questions (a) and (b) requiring ALPHANUM-25 values are applicable.

(d) Voluntary switch to risk-free rates

No, the voluntary switch to risk-free rates is not considered a reportable transaction under MiFIR Article 26 as it would fall under RTS 22 Article 2(5)(i) exemption (the creation, expiration or redemption of a financial instrument as a result of pre-determined contractual terms, or as a result of mandatory events which are beyond the control of the investor where no investment decision by the investor takes place at the point in time of the creation, expiration or redemption of the financial instrument).

(e) Fallback of the reference rate

Yes. If the financial instrument based on the fallback rate is assigned a different ISIN than the equivalent financial instrument based on LIBOR, the reporting entities should:

1. Terminate the financial instrument in FIRDS, when the instrument ceases referring to LIBOR, and
 2. Resubmit to FIRDS the financial instrument reference data with the new ISIN when switching to a different rate in case the new financial instrument with its ISIN is admitted to trading or is traded in accordance with Article 2 of RTS 23.
-

[1] This field should only be populated where no identifier exists, as per RTS 23.

ESMA_QA_1511

Submission Date

28/09/2020

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

* Transaction reporting

Historic Question Reference

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Transaction reporting

Question

Consider a scenario where an Investment Firm A executes a reportable transaction through an execution algorithm provided by another Investment Firm B .

- a) How should field 59 (Execution within firm) of RTS 22 be reported when Investment Firm A uses the execution algorithm provided by Investment Firm B?
- b) Would Investment Firm A's reporting differ if Firm B was not a MiFID II Investment Firm and therefore did not have the obligation to report this transaction under Art. 26 MiFIR?
- c) Where Investment Firm B is using Investment Firm A's membership to access the market, is Investment Firm B executing the transaction and does Investment Firm B have to transaction report?

ESMA Answer

28-09-2020

Original language

(a) The reporting obligations are the same as where Investment Firm A decides to send an order for execution to Investment Firm B. Investment Firm A should populate field 59 with the person or algorithm identifier within their firm that is primarily responsible for using Investment Firm B's algorithm. Investment Firm A shall not populate a code for Investment Firm B's algo, only its own information.

The scenario is:

IF A ? IF B (algorithm) ? CCP (Trading Venue or Investment Firm)

Assuming that Investment Firm A is buying an instrument and dealing on own account trading capacity, and Investment Firm B is acting in “any other” trading capacity, the respective reports should be completed as follows:

N	Field	Investment Firm A's report	Investment Firm B's report
4	Executing entity identification code	{LEI} of Investment Firm A	{LEI} of Investment Firm B
7	Buyer identification code	{LEI} of Investment Firm A	{LEI} of Investment Firm A
16	Seller identification code	{LEI} of Investment Firm B	{LEI} of CCP
29	Trading capacity	'DEAL'	'AOTC'
59	Execution within firm algorithm	Natural person's ID or code of Investment Firm A	Code for Investment Firm B's execution algorithm

(b) No. Investment Firm A's reporting is the same as specified in a).

(c) Yes. Investment Firm B is conducting the activity of executing a client order according to Art. 3 of RTS 22[1]. The scenario is:

IF A ? IF B (algorithm) ? IF A (membership) ? CCP (Trading Venue)

Assuming that both Investment Firm A is buying an instrument and dealing on own account, and the subsequent steps in Investment Firm B and A are in “any other” trading capacity, the respective reports should be completed as follows:

N	Field	IF A's report 1	IF B's report	IF A's report 2
4	Executing entity identification code	{LEI} of Investment Firm A	{LEI} of Investment Firm B	{LEI} of Investment Firm A

N	Field	IF A's report 1	IF B's report	IF A's report 2
7	Buyer identification code	{LEI} of Investment Firm A	{LEI} of Investment Firm A	{LEI} of Investment Firm B
16	Seller identification code	{LEI} of Investment Firm B	{LEI} of Investment Firm A	{LEI} of CCP
29	Trading capacity	'DEAL'	'AOTC'	'AOTC'
59	Execution within firm	Natural person's ID or code of algorithm within Investment Firm A	Code for Investment Firm B's execution algorithm	'NORE'

In order to match Investment Firm B's reports and reflect its involvement in more than one part of 'the chain', Investment Firm A has to submit two reports:

- one for its trade as a client with Investment Firm B (Report 1).
- one for its market-side trade with the Central Counterparty or another Investment Firm (Report 2).

[1] Commission Delegated Regulation (EU) 2017/590.

ESMA_QA_1510

Submission Date

28/09/2020

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

* Transaction reporting

Historic Question Reference

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Transaction reporting

Question

How are different national identifiers specified in Annex II of RTS 22 represented?

ESMA Answer

26-01-2024

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 24.2]

The table below shows the list of national client identifiers for natural persons to be used in transaction reports pursuant to the priority specified in Annex II of the Commission Delegated Regulation (EU) 2017/590. Information related to the format of the identifier is not provided in the case of CONCAT, since the procedure for generating such identifier is defined in Articles 6(1) and 6(4) of the Commission Delegated Regulation (EU) 2017/590.

Country code	Country name	National client identifier	Format of the identifier
AT	Austria	CONCAT	
BE	Belgium	Belgian National Number (Numéro de registre national - Rijksregisternummer)	11 numerical digits where the first 6 are the date of birth (YYMMDD), the next 3 are an ordering number (uneven for men, even for women) and the last 2 a check digit.
		CONCAT	
BG	Bulgaria	Bulgarian Personal Number	It consists of 10 digits. The first 6 are the date of birth (YYMMDD). The next 3 digits have information about the area in Bulgaria and the order of birth, and the ninth digit is even for a boy and odd for a girl. Seventh and eighth are randomly generated according to the city. The tenth digit is a check digit.
		CONCAT	
CY	Cyprus	National Passport Number	The number for passports issued before 13/12/2010 consists of the character 'E' followed by 6 digits i.e E123456. Biometric passports issued after 13/12/2010 have a number that starts with the character 'K', followed by 8 digits. i.e K12345678
		CONCAT	
CZ	Czech Republic	National identification number (Rodné číslo)	It is a nine or ten-digit number in the format of YYXXDD/SSSC, where XX=MM (month of birth) for male, <u>i.e.</u> numbers 01-12, and XX=MM+50 (or exceptionally XX=MM+70) for female, i.e. numbers 51-62 (or 71-82). For example, a number 785723 representing the first six digits is assigned to a woman born on 23rd of July 1978. SSS is a serial number of distinguishing persons born on the same date and C is a check digit. For people born before January 1st, 1954, the number is without this check digit - YYXXDD/SSS (<u>i.e.</u> the nine-digit case). If the national identification number has ten digits, then the tenth (check) digit is the first nine digits modulo 11, unless this modulo is 10. In that case the tenth digit is 0. Therefore, the ten-digit number is usually divisible by 11. <u>It should be noted that the special character "/" is just a separator and should be omitted in transaction reports.</u>
		Passport Number	It is usually an eight-digit number, but it can be longer.
		CONCAT	

DE	Germany	CONCAT	
DK	Denmark	Personal identity code 10 digits alphanumeric: DDMMYYXXXX	The Danish personal ID is called the CPR number. It is 10 digits and does only consist of numbers [0-9]. The first 6 numbers represent the date of birth in "DDMMYY" format.
		CONCAT	
EE	Estonia	Estonian Personal Identification Code (Isikukood)	It consists of 11 digits, generally given without any whitespace or other delimiters. The form is GYYMMDDSSSC, where G shows sex and century of birth (odd number male, even number female, 1-2 19th century, 3-4 20th century, 5-6 21st century), SSS is a serial <u>number</u> separating persons born on the same date and C a checksum.
ES	Spain	Tax identification number (<u>Número 0</u> Código de identificación fiscal)	Code composed by 9 characters: 8 numbers and a control letter. Letters I, Ñ, O, and U are not used. It looks like 99111222M.
			<u>Particular cases</u> - <u>L + 7 numbers + control letter for non-resident Spaniards unless they have DNI, where then it would look like as above.</u> - <u>K + 7 numbers + control letter for Spaniards under 14 unless they have DNI, where then it would look like as above.</u>
FI	Finland	Personal identity code	It consists of eleven characters of the form DDMMYYCZZZQ, where DDMMYY is the date of birth, C the century sign, ZZZ the individual number and Q the control character (checksum). The sign for the century is either + (1800–1899), - (1900–1999), or A (2000–2099). The individual number ZZZ is odd for males and even for females and for people born in Finland its range is 002-899 (larger numbers may be used in special cases). An example of a valid code is 311280-888Y.
		CONCAT	
FR	France	CONCAT	

GB	United Kingdom	UK National Insurance number	Two prefix letters, followed by six digits with one suffix letter, which is always A, B, C, or D. It looks something like this: AB123456A. The characters D, F, I, Q, U and V are not used as either the first or second letter of the prefix. The letter O is not used as the second letter of the prefix. For administrative reasons HMRC and DWP have sometimes used reference numbers which look like <u>NINOs</u> but which do not use valid prefixes. The administrative prefixes used are OO, CR, FY, MW, NC, PP, PZ, TN. These should not be used.
		CONCAT	
GR	Greece	10 Dematerialised Securities System (DSS) digit investor share	It consists of 10 <u>digits</u> and it is linked with the personal details of the investor (name, identity number, passport number, tax registration number).
		CONCAT	
HR	Croatia	Personal Identification Number (OIB – Osobni identifikacijski broj)	OIB consists of 11 digits. 10 digits are chosen randomly and do not contain information related to the holder of OIB. One digit is a control number. OIB is unique, <u>unchangeable</u> and unrepeatable. It is a permanent identification code of every Croatian citizen and legal person with head office in the Republic of Croatia.
		CONCAT	
HU	Hungary	CONCAT	
IER	Ireland	CONCAT	
IS	Iceland	Personal Identity Code (Kennitala)	Ten-digit number, where the first six are the date of birth (DDMMYY).
IT	Italy	Fiscal code (Codice fiscale)	The code is unique, <u>widespread</u> and consistent over time and it is a combination of 16 letters and numbers (3 letters for the last name + 3 letters for the name + 5 letters/numbers for the date of birth (with different combinations to distinguish between men and women) + 4 letters/numbers for the place of birth + 1 check letter/number). Example: RSS MRO 62B25 E205 Y
LI	Liechtenstein	National Passport Number	The Code is a combination of 1 letter and 5 numbers. For <u>example</u> R00536
		National Identity Card Number	The Code of the national ID-Card is a combination of 2 letters and 8 numbers. For <u>example</u> ID022143586
		CONCAT	

	LT	Lithuania	Personal code (Asmens kodas)	It is 11 digits long. Format GYYMMDDNNNC, where G is the gender (4 or 6 for women; 3 or 5 for men); YYMMDD is the date of birth; NNN - serial number; C - check digit.
			National Passport Number	Passport or Identity card number - 8-digit number
			CONCAT	
	LU	Luxemburg	CONCAT	
	LV	Latvia	Personal code (Personas kods)	11 numerical digits of the form DDMMYY-CZZZZ where the first 6 are the date of birth (DDMMYY) and the C is century sign (where the digit "0" is the 19th century, the number "1" - the 20th century, "2" - <u>21th</u> century). <u>Or 11 numerical digits selected randomly, where the first six digits may be separated from other digits with a hyphen</u>
			CONCAT	
	MT	Malta	National Identification Number	8 characters: 7 numerical digits and 1 alphabetic letter (M, G, A, P, L, H, B, Z) Each ID Card has a unique Identity Number, based on a combination of: (a) a sequential registration number in the relevant year; (b) the relevant year number (2 digits), where the year is the year of birth (for Malta-born persons) or year of registration (for non-Malta born persons), and (c) a letter designating the geographic origin of the person. The definition of the letters is given by the Public Registry Department on the registration of a birth A = applicable to Foreigners in possession of an eRes Card B = applicable to Maltese births registered in the 1800+ G= applicable to Gozitan births registered in the 1900+ H= applicable to Gozitan births registered in the 2000+ L= applicable to Maltese births registered in the 2000+ M= applicable to Maltese births registered in the 1900+ P= applicable to Maltese citizens who are unable to obtain their original birth certificate from their country of birth to be registered in Malta. Z= applicable to Gozitan births registered in the 1800+
			National Passport Number	For passports issued before 15 November 2019: 7 numerical <u>digits</u> For passports issued on and after 15 November 2019: 2 letters and 6 numerical digits
	NL	Netherlands	National Passport Number	9 characters of which: Position 1 and 2: [A-Z] except for "O"; Position 3 - 8: [A-Z] [0-9] except for "O"; Position 9: [0-9].
			National identity card number	9 characters of which: Position 1 and 2: [A-Z] except for "O"; Position 3 - 8: [A-Z] [0-9] except for "O"; Position 9: [0-9]. The character "O" is not allowed while "0" is.

		CONCAT	
NO	Norway	11-digit personal id (Foedselsnummer)	The id is 11 digits long, where the first 6 represent birthdate in "ddmmyy" format.
		CONCAT	
PL	Poland	National Identification Number (PESEL)	11 NUMERIC. ID for natural persons is assigned to a person shortly after birth by the birth registry and does not change throughout the life of a person.
		Tax Number (Numer identyfikacji podatkowej)	10 NUMERIC. It is used by investment firms for the tax identification of a client.
PT	Portugal	Tax number (Número de Identificação Fiscal)	Code composed by one block of 9 digits (999999999). The first eight digits are sequential and the last one is used as a control: 1 to 3: Personal, 3 is not yet assigned; 45: Natural person. The initial digits "45" correspond to non-residents citizens that only get in Portuguese territory income subject to withholding at source; 5: legal person required to register in the National People Collective Registry; 6: The agencies of the Central Government, Regional or Local administration; 70, 74 and 75: Used to identify different types of Heritage Indivisible; 71: Collective non-residents subject to withholding at source definitively; 72: Investment Funds; 77: officious allocation of taxable NIF (entities that do not require NIF on the official bodies (RNPC); 78: officious assignment to non-residents covered by the proceeding VAT REFUND; 79: Exceptional rules - created in 98 exclusively to the Mundial Exposition (Expo 98); 8: "sole trader" (no longer used, is no longer valid); 90 and 91: Condos, Irregular Society and undivided inheritances; 98: Non-residents without permanent establishment; 99: Civil societies without legal personality.
		National Passport Number	The passport of uniform and optical model issued before April 2018 consists of a notebook with 32 pages numbered, identified by one letter and six digits: Position 1: letter [A-Z] and Position 2 - 6: digits [0-9]. The passport of uniform and optical model issued after April 2018 consists of a notebook with 32 (requested by normal travel) or 48 (requested by a frequent travel) pages numbered, identified by two letters and six digits: Position 1-2: letter [A-Z] and Position 3 - 8: digits [0-9].

		CONCAT	
RO	Romania	National Identification Number (Cod Numeric Personal)	The Romanian National ID (Cod Numeric Personal, CNP) consists of 13 digits and is created by using the gender of the citizen and century (1 digit, 1/3/5/7 for men, 2/4/6/8 for women and 9 for foreign citizens), date of birth (6 digits, YYMMDD), the place of birth (2 digits), followed by a serial number (3 digits) and 1 control digit, at the end. The first digit encodes the person's gender as follows: 1 Male born between 1900 and 1999 2 Female born between 1900 and 1999 3 Male born between 1800 and 1899 4 Female born between 1800 and 1899 5 Male born after 2000 6 Female born after 2000 7 Male, foreign citizen, RO resident 8 Female, foreign citizen, RO resident 9 Foreign citizen
		National Passport Number	The Romanian Passport Number consists of 9 digits.
		CONCAT	
SE	Sweden	Personal identity number	Personal identity number: 12 digits numerical in the format CCYYMMDDZZZQ. CCYYMMDD is the date of birth, ZZZ the individual serial number, and Q is the control character (calculated with Luhn-algorithm). The individual number ZZZ is odd for males and even for females. CC is century, YY year, MM month and DD day. NB! The 12 digits numerical format is used, as the official 10 digits numerical format of the personal identity number includes a separator (YYMMDD-ZZZQ or YYMMDD+ZZZQ, if the person has turned 100) which severely complicates data processing and storage.
		CONCAT	

SI	Slovenia	Personal Identification Number (EMŠO: Enotna Matična Številka Občana)	It consists of 13 digits. The first 7 numbers represent the date of birth of the person - DDMMYYYY. Digits 8 and 9 represent the number of a register where EMŠO was assigned • 10-19 – Bosnia and Hercegovina (if signed in before 18 February 1999) • 20-29 – Montenegro (if signed in before 18 February 1999) • 30-39 – Croatia (if signed in before 18 February 1999) • 40-49 – Macedonia (if signed in before 18 February 1999) • 50-59 – Slovenia (if signed in before 18 February 1999, if later number 50 is used) • 60-69 – (not in use) • 70-79 – Serbia (if signed in before 18 February 1999) • 80-89 – Autonomous Province of Vojvodina (if signed in before 18 February 1999) • 90-99 – Kosovo (if signed in before 18 February 1999)). Digit 10, 11 and 12 are a combination of gender and serial number for persons, born on the same day (000-499 for male and 500-999 for female). Number 13 is a control number and is calculated by a special procedure, defined in Article 4 of the Regulation on the way of assigning the personal identification number (Nos. no. 8/99).
		CONCAT	
SK	Slovakia	Personal number (Rodné číslo)	The Personal Number consist of ten digits in the form YYMMDDCCCX. The first part is created from the date of birth (differently for male and female): YY - the last 2 digits of the year of birth; MM - month of birth for male (01 -12), month of birth plus 50 for female (51-62); DD - day of birth; CCC- number distinguishing persons born on the same date; X - check digit. The Person Number must be divisible by 11.
		National Passport Number	It is issued in the format XXNNNNNNNN. It is a 9-digit unique code where XX are block letters and NNNNNNN are numbers. It has a validity of 10 years.
		CONCAT	

ESMA_QA_1495

Submission Date

05/12/2019

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Multilateral and bilateral systems

Subject Matter

Multilateral and bilateral systems - Member preferencing functionalities and pre-
arranged transactions

Question

Can member preferencing functionalities be used to formalise pre-arranged transactions?

ESMA Answer

05-12-2019

Original language

[ESMA 70-872942901-38 MiFID II MiFIR market structures Q&A, Q&A 5.9a]

MiFID II requires trading venues to use transparent rules and procedures providing for fair and orderly trading and to establish objective criteria for the efficient execution of orders (Articles 19(1) and 47(1)(d) of MiFID II). ESMA considers that trading venues may implement/offer member preferencing functionalities in the trading system they operate as long as those functionalities comply with the MiFID II requirements and in particular are transparent and available to all members or participants.

However, ESMA also considers that member preferencing functionalities cannot be used to formalise pre-arranged transactions. Trading venues should monitor the use of member preferencing on any type of trading system and establish arrangements and procedures to detect attempts to use member preferencing functionalities to formalise privately negotiated trades. Should trading venues detect such use of member preferencing functionalities, they should have appropriate means in place to ensure that those trading patterns are discontinued.

ESMA reminds market participants that pre-arranged transactions may only be formalised on a trading venue when that trading venue benefits from an appropriate

pre-trade transparency waiver.

ESMA_QA_1488

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05/12/2019

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Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Level 3 Regulation

ESMA70-872942901-38 - Q&A on MiFID II and MiFIR market structures topics

Topic

Direct Electronic Access and algorithmic trading

Subject Matter

Direct Electronic Access (DEA) and algorithmic trading - Trading systems - RTS 7

Question

To which types of trading systems does Commission Delegated Regulation (EU) 2017/584 RTS 7 apply? In particular, are trading venues without auto-matching trading systems or that explicitly prohibit algorithmic trading subject to the provisions of RTS 7?

ESMA Answer

05-12-2019

Original language

[ESMA 70-872942901-38 MiFID II MiFIR market structures Q&A, Q&A 3.31]

Article 1 of RTS 7 limits the scope of application of RTS 7 to trading venues which “*allow or enable algorithmic trading*”. Article 1(2) of RTS 7 defines those venues as trading venues “*where order submission and order matching is facilitated by electronic means*”. The rationale is explained in Recital 3 which clarifies that “*risks arising from algorithmic trading can be present in any type of trading system that is supported by electronic means*”.

ESMA further notes that Recital 5 of RTS 7 explicitly refers to request-for-quote systems, where transactions are usually not automatically executed based on pre-set parameters and logic (i.e. no auto-matching protocols), as being within the scope of the RTS. ESMA therefore consider that the absence of an auto-matching protocol should not exclude the trading venue operating such system from the scope of RTS 7.

Similarly, an explicit prohibition of algorithmic trading does not appear sufficient for the trading venue to be excluded from the scope of the RTS considering the definition of trading venues allowing or enabling algorithmic trading provided under Article 1(2).

Nevertheless, regarding the specific application of the provisions contained in RTS 7, Recital 5 clarifies that (i) *“some organisational requirements may not be appropriate for certain trading models although their trading systems could be supported to a certain extent by electronic means”* and that (ii) *“the specific requirements to be set in relation to request-for-quote systems or hybrid systems should be considered according to the nature, scale and complexity of the algorithmic trading activity undertaken”*. ESMA would for instance consider it unreasonable to require a trading venue that explicitly prohibits algorithmic trading to offer to its clients a simulation facility for testing algorithms in conditions that are as realistic as possible (Article 10(2) of RTS 7).

Lastly, Recital 3 clarifies that voice trading systems are excluded from the scope of RTS 7. It is however important to stress that trading venues operating such systems remain subject to the organisational requirements prescribed under Article 48(1) of MiFID II.

ESMA_QA_1127

Submission Date

04/12/2019

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Topic

Product governance

Subject Matter

Product intervention

Question

Which national product intervention measures should a firm apply in case of cross-border provision of investment services?

ESMA Answer

04-12-2019

Original language

[ESMA35-43-439 Investor protection Product intervention Q&A 1]

National competent authorities (NCAs) may take product intervention measures in accordance with Article 42 of the Markets in Financial Instruments Regulation (EU) No 600/2014 (MiFIR) in or from their Member State. Where two NCAs adopt product intervention measures that both apply in and from their Member State and that are different from each other, it is important for investment firms to comply with the product intervention measures that apply from the Member State in which they are authorised in case of cross-border provision of investment services and also the product intervention measures applicable in a Member State where the client is located.

This holds that if Member State (MS) A adopts stricter measures than MS B, then firms from MS B still have to abide by the national product intervention measures of MS A in respect of any cross-border activity provided to clients in MS A that is within the scope of the national measures of MS A.

When product intervention measures in a Member State apply from that Member State, this implies that the product intervention measures apply to firms when marketing, distributing or selling MiFID financial instruments also to clients located in third country jurisdictions, without prejudice of any local legislation and/or regulation.

In order to determine the location of the client, firms could, for example, consider the habitual residence of the client based on information collected in their client-

onboarding process as part of the know-your-customer assessment.

It is possible that national product intervention measures contain specific rules on the territorial scope of their application. Therefore, when providing cross-border investment services firms should ensure compliance with the applicable product intervention measures.

ESMA_QA_1698

Submission Date

07/10/2019

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

FX forward reporting

Question

How should a transaction carried out on a trading venue on a FX forward be reported under Article 26 and Article 27 of MiFIR?

ESMA Answer

07-10-2019

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 17.1]

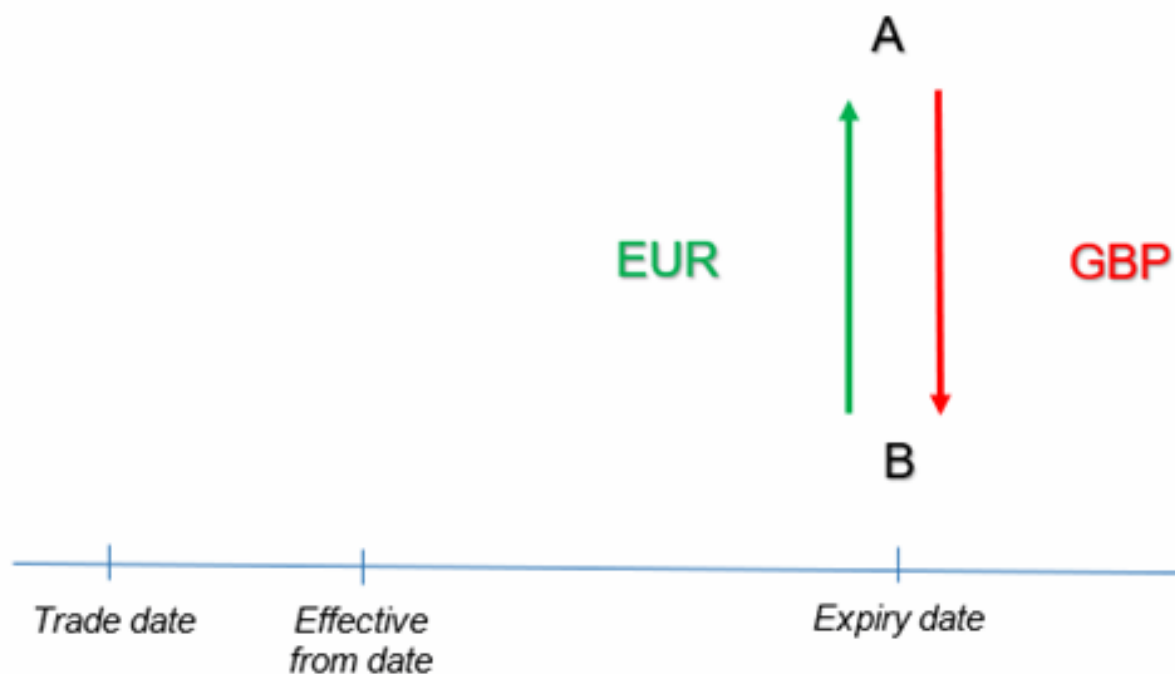
Example:

On March 13th, 2018, investment firms A and B enter in a EUR/GBP (the currency mentioned first is the 'base' currency, while the other currency is the 'terms' or 'quote' currency) FX forward instrument on a trading venue. The instrument has the following characteristics:

- Notional of the instrument: €1M;
- Effective date of the transaction: March 15th 2018 (T+2);
- Expiry date of the instrument: September 15th 2018;
- The tenor of this instrument is 6 months;
- ISIN code of the financial instrument: EZ1234567891;
- The price of the instrument is the FX forward rate expressed as a price of base currency in the quoted currency according to the market convention for the currency pair;
- The EUR/GBP FX forward rate reference is 0.8200.

The counterparty that is receiving the currency which is first when sorted alphabetically by ISO 4217 standard should be identified as the buyer^[1].

In our example, investment firm A who will (in 6 months) deliver the GBP and receive the EUR is the buyer of the FX forward, while investment firm B who will (in 6 months) receive the GBP and deliver the EUR is the seller of the FX forward.



(A) The relevant fields in the transaction reporting as per article 26 of MiFIR should be^[2]:

#	Field	Reporting of IF A	Reporting of IF B
7	Buyer	LEI of IF A	LEI of IF A
16	Seller	LEI of IF B	LEI of IF B
28	Trading date time	2018-03-13:Tth:mm:ss.dddddddZ	2018-03-13:Tth:mm:ss.dddddddZ
30	Quantity	1,000,000	1,000,000
31	Quantity currency	EUR	EUR
33	Price	0.82000	0.82000
34	Price currency	GBP	GBP
36 ⁴⁴	Venue	{MIC}	{MIC}
41	Instrument identification code	EZ1234567891	EZ1234567891

The price should be populated with the forward rate expressed as a price of base currency in the quoted currency and the monetary value XML tag should be used^[3].

In the quantity field #30 the executing entities (buyer and seller) should report the amount of the FX forward in the base currency. The quantity in field #30 in the transaction report is always shown as positive.

In the quantity currency field #31, the executing entities (buyer and seller) should report the base currency of the FX forward.

The price currency field should be populated with the term / quote currency (i.e. GBP in this example).

Although the examples show the reports of firm A, the reports of firm B would be identical.

B) As per article 27 of MiFIR, the trading venue or SI admitting to trade or trading this instrument shall report it in FIRDS. The following table shows the expected reporting of the instrument reference data by trading venues or SIs (only the relevant fields are displayed):

#	Field	Value
1	Instrument identification code	EZ1234567891
3	Instrument classification	JFTX*P
13	Notional currency 1	EUR
24	Expiry date	2018-09-15
34	Delivery type	'PHYS' ⁴⁶
47	Notional currency 2	GBP

Notional currency 1 should be populated with the 1st currency when sorted alphabetically by ISO 4217 standard.

Notional currency 2 should be populated with the second currency when sorted alphabetically by ISO 4217 standard.

[1] As per field 7 (Buyer identification code) on table 2 of Annex 1 of RTS 22

[2] If this transaction is carried out outside a trading venue then field 36 should be populated with XOFF.

[3] Notional currency 1 may not be the base currency of the contract.

ESMA_QA_1685

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29/07/2019

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Maturity Date, expiry date and termination date

Question

What date should be populated in Field 24 (Expiry date) of RTS 23 for financial instruments without a defined expiry date [e.g. perpetual FX Rolling Spot Futures]

for which the population of Field 24 is mandatory according to the CFI validation rules?

ESMA Answer

29-07-2019

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 5.5]

For instruments without a defined expiry date for which the population of Field 24 (Expiry date) is mandatory according to the CFI validation rules [e.g. perpetual FX Rolling Spot Futures] Field 24 should be populated with the value 9999-12-31 (in accordance with the ISO format). In case the expiry date becomes determined during the life cycle of the financial instrument Field 24 should be updated accordingly.

ESMA_QA_1572

Submission Date

12/07/2019

Status: Published Answer Updated

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Pre-trade transparency waivers

Subject Matter

Hedging Exemption

Question

Is the hedging exemption applicable to orders or quotes?

ESMA Answer

16-10-2024

Original language

This question was deleted on 16/10/2024.

ESMA_QA_1571

Submission Date

12/07/2019

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Pre-trade transparency waivers

Subject Matter

Pre-arranged/negotiated transactions for non-equity instruments

Question

Are “pre-arranged” or “negotiated” transactions permitted for transactions in non-equity instruments and in particular for derivatives that are subject to the MiFIR

trading obligation? Under which conditions can pre-arranged transactions benefit from the hedging exemption under Article 8(1) of MiFIR?

ESMA Answer

12-07-2019

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 5.11]

MiFIR provides for the possibility to formalise negotiated transactions in equity instruments on trading venues subject to a waiver under Article 4(1)(b). Furthermore, ESMA considers that pre-arranged transactions in equity instruments may also be formalised under the large in scale (LIS) waiver under Article 4(1)(c) of MiFIR as long as the conditions for an LIS waiver are met.

While MiFIR does not have specific provisions for negotiated or pre-arranged transactions for non-equity instruments, ESMA considers it nevertheless possible to formalise negotiated or pre-arranged transactions on a trading venue subject to meeting the conditions for the respective waivers from pre-trade transparency set out in Article 9(1) of MiFIR.

Concerning non-equity instruments that are not subject to the trading obligation for derivatives, pre-arranged transactions are possible under the LIS-waiver (first part of the sentence in Article 9(1)(a)) of MiFIR, the waiver for instruments that do not have a liquid market (Article 9(1)(c) of MiFIR), the EFP waiver (Article 9(1)(d) of MiFIR) and the package order waiver (Article 9(1)(e) of MiFIR). Pre-arranged transactions may not be executed using the order management facility waiver

(second part of Article 9(1)(a) of MiFIR) or the size-specific-to-the-instrument (SSTI)-waiver (Article 9(1)(b) of MiFIR).

Concerning derivatives subject to the trading obligation, pre-arranged transactions are only possible under the LIS-waiver (Article 9(1)(a) of MiFIR) and the package order waiver (Article 9(1)(e) of MiFIR).

Finally, concerning pre-arranged transactions on cleared derivatives that are concluded on a trading venue, the pre-trade checks specified in the Commission Delegated Regulation (EU) 2017/582 (Article 2) do also apply.

Moreover, ESMA considers that pre-arranged transactions may benefit from the hedging exemption under Article 8(1) of MiFIR subject to meeting the following conditions: at least one of the counterparties to the transaction is a non-financial counterparty, the transaction is in derivative instruments, and the transaction has to have as a result reducing risks directly relating to the commercial activity or treasury financing activity of the non-financial counterparty or of that group.

ESMA emphasizes that when trading venues execute pre-arranged transactions under the rules of their system, they must ensure that these transactions comply with the regulations, including those concerning market abuse and disorderly trading. Venues have an obligation to monitor these trades on possible violations of the rules.

ESMA_QA_1588

Submission Date

03/06/2019

Status: Published Answer Updated

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Systematic internaliser regime

Subject Matter

Quoting obligation for SI in non-TOTV instruments

Question

Are systematic internalisers in non-TOTV instruments subject to the quoting obligations under Articles 14-17a of MiFIR?

ESMA Answer

16-10-2024

Original language

The scope of the quoting obligations under Articles 14-17a of MiFIR is limited to TOTV instruments. In consequence, systematic internalisers in non-TOTV instruments are not subject to the quoting obligations under Articles 14-17a of MiFIR. They remain however required to notify their competent authority as prescribed under the second subparagraph of Article 15(1) of MiFIR.

It is possible that the TOTV status of a financial instrument changes over time, in particular a non-TOTV instrument may become TOTV at some point. ESMA expects systematic internalisers in non-TOTV instruments to monitor the TOTV status of those instruments and comply with the quoting obligations under Articles 14-17a of MiFIR as soon as an instrument becomes TOTV.

03-06-2019

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 7.11b]

The scope of the quoting obligations under Articles 14-~~18~~17a of MiFIR is limited to TOTV instruments. In consequence, systematic internalisers in non-TOTV instruments are not subject to the quoting obligations under Articles 14-~~18~~17a of MiFIR. They remain however required to notify their competent authority as prescribed under the second subparagraph of Article 15(1) and ~~Article 18(4)~~ of

MiFIR.

It is possible that the TOTV status of a financial instrument changes over time, in particular a non-TOTV instrument may become TOTV at some point. ESMA expects systematic internalisers in non-TOTV instruments to monitor the TOTV status of those instruments and comply with the quoting obligations under Articles 14-1817a of MiFIR as soon as an instrument becomes TOTV.

ESMA_QA_1588

Submission Date

03/06/2019

Status: Published Answer Updated

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Systematic internaliser regime

Subject Matter

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16-10-2024

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03-06-2019

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 7.11b]

The scope of the quoting obligations under Articles 14-~~18~~17a of MiFIR is limited to TOTV instruments. In consequence, systematic internalisers in non-TOTV instruments are not subject to the quoting obligations under Articles 14-~~18~~17a of MiFIR. They remain however required to notify their competent authority as prescribed under the second subparagraph of Article 15(1) ~~and Article 18(4)~~ of

MiFIR.

It is possible that the TOTV status of a financial instrument changes over time, in particular a non-TOTV instrument may become TOTV at some point. ESMA expects systematic internalisers in non-TOTV instruments to monitor the TOTV status of those instruments and comply with the quoting obligations under Articles 14-1817a of MiFIR as soon as an instrument becomes TOTV.

ESMA_QA_1586

Submission Date

03/06/2019

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Systematic internaliser regime

Additional Legal Reference

Markets in Financial Directorate II (MiFID II) Directive 2014/65/EU- Secondary
Markets

Subject Matter

Mandatory SI regime

Question

Is it possible for investment firms to qualify as a systematic internaliser under the mandatory regime in instruments that are not traded on a trading venue (non-TOTV instruments)?

ESMA Answer

03-06-2019

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 7.11]

Article 4(1)(20) of MiFID II specifies that investment firms should comply with the systematic internaliser regime (mandatory systematic internaliser regime) where the pre-set limits established to be considered trading on a frequent and systematic basis and on a substantial basis are crossed.

Article 4(1)(20) of MiFID II as further specified in Articles 12-17 of Commission Delegated Regulation (EU) 2017/565 does not limit the concept of systematic internalisers to instruments that are traded on a trading venue (TOTV) but includes all financial instruments, i.e. TOTV and non-TOTV instruments. Hence, an investment firm may qualify as a systematic internaliser in any financial instrument (i.e. TOTV and non-TOTV instruments).

However, ESMA is only publishing information on TOTV instruments for determining whether an investment firm meets the thresholds to be considered as a systematic internaliser. With respect to non-TOTV instruments, ESMA therefore appreciates that it might be challenging for investment firms to access reliable and

comprehensive sources of EU wide information preventing de facto the systematic internaliser test to be carried out.

There are circumstances where an investment firm may still be a systematic internaliser for non-TOTV instruments. This would notably be the case for investment firms that opt voluntarily into the systematic internaliser regime.

In addition, it is possible that an investment firm by virtue of qualifying as a systematic internaliser in a TOTV instrument automatically becomes a systematic internaliser in non-TOTV instruments. This would notably be the case in the circumstances described below.

An investment firm might be a systematic internaliser for non-TOTV instruments when it meets the threshold for a bond, since it automatically becomes an SI in all bonds (i.e. TOTV and non-TOTV) issued by the same entity or by any entity within the same group for the same bond type.

An investment firm might be a systematic internaliser for non-TOTV instruments when it meets the threshold for a structured finance product (SFP), since it automatically becomes a systematic internaliser in all SFPs (i.e. TOTV and non-TOTV) issued by the same entity or by any entity within the same group.

An investment firm might be a systematic internaliser for non-TOTV instruments when it meets the threshold for a sub-class of derivatives, since it becomes a systematic internaliser for all derivatives (i.e. TOTV and non-TOTV, if any) belonging to that sub-class.

An investment firm might be a systematic internaliser for non-TOTV instruments when it meets the threshold for an emission allowance, since it becomes a systematic internaliser for all emission allowances (i.e. TOTV and non-TOTV, if any) belonging to that emission allowance sub-asset class.

An investment firm might be a systematic internaliser for non-TOTV instruments when it meets the threshold for the asset class of securitised derivatives, since it becomes a systematic internaliser for all securitised derivatives (i.e. TOTV and non-

TOTV, if any) belonging to this asset class.

ESMA_QA_1581

Submission Date

03/06/2019

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Systematic internaliser regime

Subject Matter

Compliance with the SI regime and notification to NCAs

Question

a) What information should the notification from systematic internalisers to their
NCA contain?

- b) For what period of time should an investment firm follow the obligations for systematic internalisers after crossing the relevant thresholds in a financial instrument?
- c) When/How often do investment firms have to notify their NCAs of their systematic internaliser status?

ESMA Answer

03-06-2019

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 7.6]

(a) The notification from systematic internalisers to their NCA should contain information that is at least provided at the level of the MiFIR identifier as specified in field 4 of table 2 of Annex III of RTS 1 (i.e. shares, depositary receipts, exchange traded funds, certificates and other equity-like financial instruments) and in field 3 of table 2 of Annex IV of RTS 2 (i.e. bonds, ETNs, ETCs, structured finance products, securitised derivatives, derivatives, and emission allowances) for the instruments and classes of instruments for which the investment firm is a systematic internaliser. This is without prejudice of the possibility for CAs to require the submission of more granular information if considered appropriate.

(b) The obligation will last for three months after crossing the relevant thresholds in a financial instrument at the relevant quarterly assessment.

(c) Investment firms are required to notify their NCA in case of a change in status, i.e. where an investment firm passed the thresholds for an instrument with a particular MiFIR identifier in the previous period, but did not meet the thresholds for

any instrument with the same MiFIR identifier in the consecutive assessment period, it should notify its CA of its change of status. Where there is no change in the systematic internaliser status from one assessment period to the next (i.e. where the investment firm is still above the threshold or decides to voluntarily opt-in as systematic internaliser for any instrument with the same MiFIR identifier), the firm does not have to notify its NCA thereof.

ESMA_QA_1562

Submission Date

03/06/2019

Status: Published Answer Updated

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Pre-trade transparency waivers

Subject Matter

Pre-trade transparency waivers under MiFID I

Question

Does paragraph 7 of Article 4 of MiFIR allow competent authorities to grandfather waivers granted under MiFID I for a period of 2 years after the application of MiFIR

on 3 January 2018?

ESMA Answer

16-10-2024

Original language

This question was deleted on 16/10/2024.

ESMA_QA_1701

Submission Date

08/04/2019

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Defined List of Instruments

Question

How should operators of trading venue(s) report instrument reference data in accordance with Article 2 of RTS 23 and related MAR RTS and ITS in cases where

they operate on the basis of a defined list of instruments?

ESMA Answer

08-04-2019

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 23.1]

(Please note that, for ease of reference, RTS have been numbered in accordance with the numbering used in the package sent by ESMA to the Commission in September 2015 (ESMA/2015/1464). Readers are nevertheless invited to consult the Commission and European Parliament websites for updated versions of those RTS.)

(Commission Delegated Regulation (EU) 2016/909 of 1 March 2016 supplementing Regulation (EU) No 596/2014 of the European Parliament and of the Council with regard to regulatory technical standards for the content of notifications to be submitted to competent authorities and the compilation, publication and maintenance of the list of notifications. Commission Implementing Regulation (EU) 2016/378 of 11 March 2016 laying down implementing technical standards with regard to the timing, format and template of the submission of notifications to competent authorities according to Regulation (EU) No 596/2014 of the European Parliament and of the Council.)

MiFIR article 27 on the provision of reference data states that operators of trading venues shall provide competent authorities with reference data *“with regard to financial instruments admitted to trading on regulated markets or traded on MTFs or OTFs”*. According to MiFIR Article 27, the concept of *“traded”* applies to MTFs, OTFs and SIs. Article 2 of RTS 23 states that the concept of *“traded”* *“includes”*, but is not limited to, cases *“where orders or quotes are placed”*. This provision should be read in combination with the further explanations given by ESMA in the Consultation Paper and subsequent Final Report related to RTS 23, which describe the rationale and the considerations behind this requirement.

As already clarified by ESMA in the Final Report, the operators that do not work with a defined list of instruments should submit reference data where orders or quotes are placed or the first trade occurs^[1]. This clarification should be read in conjunction with the previously published Consultation Paper, which stated in more detail that *“reference data submissions by a given trading venue for a given financial instrument will be triggered from the moment trading commences on that financial instrument in that particular trading venue*. This means that each day an operator is open for trading, it should submit reference data only if an order or quote is placed in the instrument between 18:00 CET on the previous day and 18:00 CET on that day^[2]. If the following day there is no order/quote, then the operator should not report reference data.

Therefore, with respect to operators of trading venues that do work with a defined list of financial instruments, ESMA has clarified that *“the obligation to supply reference data will be triggered from the moment of admission to trading or from the moment of the inclusion of the financial instrument in the list”*^[3]. These trading venues should provide instrument reference data for all these instruments regardless of whether an order or quote was placed on the instrument or a trade occurred on a given day. The concept of *“defined list”* applies to all cases where the relevant div pertaining to the financial instrument concerned referred to in Table 3 of the Annex to RTS 23 are definable before the start of the trading day. This is generally the case for securities (including but not limited to equities and bonds), however, it is not necessarily the case for derivative instruments.

It should be noted that the two regimes described in the second and third paragraph above apply to each individual TV/SI depending on the specific business model of the TV/SI. This means that if a TV operates on the basis of a defined list, such TV should always submit reference data in accordance with the third paragraph of this answer, the placement of an order on the instrument does not *per se* change the nature of the TV's business model.

[1] Section 7.2, paragraph 11, p. 380 of the Final Report on draft Regulatory and Implementing Technical Standards MiFID II/MiFIR (ESMA/2015/1464), published on 28 September 2015 on ESMA website:

https://www.esma.europa.eu/sites/default/files/library/2015/11/2015-esma-1464_-_final_report_-_draft_rts_and_its_on_mifid_ii_and_mifir.pdf

[2] As explained in section 2.3.1, page 11-12 of FIRDS reporting instructions on ESMA website: https://www.esma.europa.eu/sites/default/files/library/esma65-11-1193_firds_reference_data_reporting_instructions_v2.0.pdf

[3] Section 8.6, paragraph 18, p. 633 of the Consultation Report on MiFID II/MiFIR (ESMA/2014/1570) published on 19 December 2014 on ESMA website:

https://www.esma.europa.eu/sites/default/files/library/2015/11/2014-1570_cp_mifid_ii.pdf

ESMA_QA_1590

Submission Date

02/04/2019

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Systematic internaliser regime

Additional Legal Reference

Commission Delegated Regulation (EU) 2017/565

Subject Matter

Impact for SIs of an instrument changing liquidity status in between the SI
determination dates

Question

Is a systematic internaliser in a financial instrument for which the liquidity status changes required to adapt its quoting arrangements accordingly?

ESMA Answer

02-04-2019

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 7.13]

Yes. Systematic internalisers should comply with the requirements that correspond to the current liquidity status of an instrument.

Therefore, if the liquidity status of a financial instrument changes (regular transparency calculations or amendment of the information available on the ESMA website), systematic internalisers in that instrument should adapt the quoting arrangements accordingly. Considering that quoting requirements are stricter for liquid than illiquid instruments, a systematic internaliser can however choose to voluntarily comply at all times with the stricter requirements applicable to liquid instruments without monitoring the liquidity status of the instruments for which it is an SI.

ESMA acknowledges that the criteria and thresholds for determining whether an investment firm is considered acting as a systematic internaliser differ between liquid and illiquid instruments. Investment firms that passed the systematic internaliser test for a financial instrument whose liquidity status has changed (e.g. from illiquid to liquid) are therefore allowed (but not required) to re-assess whether

they still qualify as systematic internalisers using the criteria and thresholds corresponding to the new liquidity status. Where an investment firm decides to reassess its systematic internaliser status for such a financial instrument and, under the new liquidity status of the financial instrument, no longer meets the thresholds and criteria of the test, this investment firm should notify its competent authority accordingly.

In case of bonds, the liquidity determination and data publication for the SI tests are aligned. Investment firms should use the liquidity status that has just been published by ESMA on the first day of the month to perform the SI test, although this new liquidity status will formally be applicable only on the 16th day of the month.

The table below illustrates the timeline for the publication and application of the annual or quarterly liquidity assessments and the deadlines for the SI determination.

Class of financial instruments	Publication by ESMA of EU-wide data for SI test	Deadline for IFs to perform their SI assessment and comply with SI obligations	Publication of liquidity assessments	Application of the liquidity assessments	Liquidity status used for SI
Equity instruments	1st day of February 1st day of May 1st day of August 1st day of November	15th day of February 15th day of May 15th day of August 15th day of November	1 March every year	1 April following the publication	Current available liquidity status
Bonds			1st day of February 1st day of May 1st day of August 1st day of November	16th day of February 16th day of May 16th day of August 16th day of November	The liquidity status published by ESMA on the first day of the month
Derivatives (and other non-equity instruments)			30 April every year	1 June following the publication	Current available liquidity status

ESMA_QA_1589

Submission Date

02/04/2019

Status: Published Answer Updated

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Systematic internaliser regime

Subject Matter

Quoting obligation for SIs in non-equity financial instruments

Question

Does a systematic internaliser in non-equity financial instruments comply with its obligations under Article 18 of MiFIR by clarifying publicly that, for certain financial

instruments, it will never agree to provide a quote when prompted to do so by a client?

ESMA Answer

16-10-2024

Original language

This question was deleted on 16/10/2024.

ESMA_QA_1765

Submission Date

28/03/2019

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Topic

Suitability

Subject Matter

Suitability and appropriateness

Question

Are investment firms allowed to use a tick-the-box approach and/or generalizing phrases when stating how the advice meets the retail client's preferences,

objectives and other characteristics in the suitability report?

ESMA Answer

28-03-2019

Original language

[ESMA35-43-349 MiFID II Investor protection Q&As, Ch 2, question 10]

No. When providing the suitability report according to Article 25(6) of MiFID II and Article 54(12) of the MiFID II Delegated Regulation, firms should state on an individualized basis how the recommendation given is suitable for the retail client.

The suitability report should enable a client to understand if and why the recommendations given are suitable for the client. Therefore the firm should explicitly set forth not only if but how the recommendation (including the recommendation not to sell, buy or hold a product) matches the client's investment objectives, including his risk tolerance, his financial situation including the ability to bear losses and his knowledge and experience and any other relevant client's characteristics. To enable the client to compare this explanation with the information submitted by him/her, firms should also refer in the suitability report to the relevant client information that was used for the assessment of the suitability and on which the recommended transaction is based.

Investment firms should avoid general statements such as "the recommended product is suitable because it matches your risk tolerance" or "the product is suitable because it matches the information you provided to us" as such phrases do

not provide the client with information on how the firm has determined that the recommended product is in fact suitable for the client but rather only reflects that the recommended product is deemed suitable for the client.

Instead, firms should use phrases such as “The recommended product matches your risk tolerance: It is categorized as a risk class 3-product, this matches your risk tolerance which is level 3” (or alternatively in case of a portfolio diversification strategy, “the recommended product matches your risk tolerance: It is categorized as a risk class 4 product, but, considering the composition of your portfolio as a whole, it brings your overall portfolio risk ratio to 3, which is consistent with your risk tolerance which is level 3”) or “your investment horizon of 5 years is in line with the recommended holding period of the product of at least four years.”²⁴

This does not prevent investment firms from using a standardized template for the suitability report. Where firms use pre-phrased statements they should ensure that they are granular enough to refer to the different aspects of the suitability assessment and to the different characteristics of the recommended product. Firms should in any case provide the option for advisers to add “further aspects” where they can include specific client information that may not be covered by the template. This is also necessary to cover information on “other client’s characteristics”, if expressed by the client.

ESMA_QA_1684

Submission Date

04/02/2019

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Maturity Date, expiry date and termination date

Question

When should an instrument be terminated in FIRDS?

ESMA Answer

04-02-2019

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 5.4]

When field 12 (termination date) of Table 3 of the Annex to RTS 23 and related MAR RTS and ITS is initially left empty, the reporting entity is expected to fill it in when the instrument is going to be terminated. This also includes the cases when the given instrument has matured/expired, i.e. where fields 15 (maturity date) or 24 (expiry date) are applicable to the given instrument and are populated in the report.

The termination date should be earlier than or equal to the maturity/expiry date in the cases where the maturity/expiry date is populated.

ESMA_QA_1683

Submission Date

04/02/2019

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Maturity Date, expiry date and termination date

Question

How should field 15 (maturity date) and field 24 (expiry date) of Table 3 of the Annex to RTS 23 and related MAR RTS and ITS be populated, if these dates are

non-trading dates, e.g. a weekend or a bank holiday?

ESMA Answer

04-02-2019

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 5.3]

The maturity date/expiry date defined by the issuer or the prospectus of the financial instrument should be used. No adjustment should be made to the next or previous working day for the purpose of instrument reference data reporting.

ESMA_QA_1682

Submission Date

04/02/2019

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Maturity Date, expiry date and termination date

Question

How should Field 15 (Maturity date) of Table 3 of the Annex to RTS 23 and related MAR RTS and ITS be populated in case of trading in bonds after their originally

intended maturity date?

ESMA Answer

04-02-2019

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 5.2]

For bonds that were not paid out on the originally intended maturity date (and therefore have not expired, because, for example, they defaulted), the maturity date should be set to 9999-12-31 (in accordance with the ISO format, like for perpetual debt financial instruments) until they are finally paid out, in which case the maturity date should be updated with the actual date of redemption”.

ESMA_QA_1501

Submission Date

04/02/2019

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

* LEI (Legal Entity Identifier)

Subject Matter

MiFIR data reporting - LEI of the issuer

Question

How should operators of trading venue(s) and systematic internaliser(s) populate field 5 (issuer or operator of the trading venue identifier) of Table 3 of the Annex to

RTS 23 and related MAR RTS and ITS where the issuer of the instrument has a branch(es) that have a LEI?

ESMA Answer

04-02-2019

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 2.5]

Field 5 should be populated with the LEI of the firm's head office, even if the branch may be considered eligible for a LEI in some cases^[1].

^[1] According to the LEI ROC statement of 11 July 2016, certain branches might be considered as eligible for a LEI subject to the conditions set out in the statement. The LEI ROC statement should be consulted for further div (http://www.leiroc.org/publications/gls/roc_20160711-1.pdf). In line with section 5.5 of the ESMA Guidelines on transaction reporting, "*a branch should be identified with the LEI of its head office, even if it may be considered eligible for a LEI in some cases*". ESMA Guidelines are available at this link: https://www.esma.europa.eu/sites/default/files/library/2016-1452_guidelines_mifid_ii_transaction_reporting.pdf.

ESMA_QA_1699

Submission Date

04/02/2019

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Complex trades

Question

a) Does a complex trade as defined under Article 12 of RTS 22 need to have a single price available for the transaction?

- b) If there are prices available for the components of a complex trade does it mean that it is not a complex trade?
- c) How should the TVTIC (field 3 of RTS 22) be populated in transaction reports of a complex trade?
- d) How should a complex trade be transaction reported under article 26 of MiFIR where the components contain reportable and non-reportable financial instruments?
- e) If a component instrument or a complex trade (e.g. strategy) has an ISIN, does it make it reportable under article 26 of MiFIR?
- f) How should a complex trade (e.g. a strategy or other instrument where a transaction in the instrument is a complex trade) be reported in the instrument reference data under article 27 of MiFIR and article 4 of MAR?
- g) For an instrument where a transaction is a complex trade (for example a strategy) should a component of the instrument be reported in the instrument reference data under article 27 of MiFIR and article 4 of MAR if it is not admitted to trading or traded on a trading venue?

ESMA Answer

04-02-2019

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 20.1]

(a) Yes as stated in 5.35.9 of the Guidelines, a transaction should only be considered to involve two or more financial instruments when there is one single transaction in multiple financial instruments simultaneously for one single price.

(b) No, there may be a price because the components may be traded separately. If there is a single price available for a single transaction in multiple financial instruments, then it is a complex trade.

(c) The TVTIC provided by the TV that is applicable for that leg of the complex trade should be reported in each leg. If the TV provides the same TVTIC for more than one leg of a complex trade, then that TVTIC should be used for each leg to which it is applicable. If a TV provides different TVTICs for some legs, then the TVTIC applicable for each leg should be reported. If a leg of a complex trade is not executed on a TV, then the TVTIC field will not be populated for that leg.

(d) Only the legs for the components of a complex trade that are financial instruments that are reportable under article 26(2) should be transaction reported. The components to be reported include not only financial instruments that are admitted to trading or trading on a trading venue (reportable instruments under article 26(2)(a)), but also instruments that are not admitted to trading or traded on a trading venue but are financial instruments that are reportable under article 26(2)(b) or (c), for example a future on an equity where the future is not admitted to trading or traded on a trading venue but the underlying equity is admitted to trading on a trading venue. Even where only one of the components is a reportable financial instrument, field 40 of RTS 22 should be populated with a complex trade ID since this indicates that the transaction in the reportable financial instrument is part of a complex trade and explains why the price reported may deviate from the price of the transaction in the reportable financial instrument itself.

(e) No. Just because an instrument or a complex trade (e.g. a strategy) has an ISIN it does not mean that it is a reportable financial instrument. Some instruments and complex trades may have ISINs but are not financial instruments under MIFID II. For example commodities such as gold may have an ISIN but are not financial instruments under Section C of Annex I of MIFID II. Other instruments may be financial instruments but not a reportable instrument under article 26(2). For example an interest rate derivative is a financial instrument under Section C of Annex I of MiFID II but unless the instrument is admitted to trading or traded on a trading venue it is not a reportable financial instrument under 26(2) regardless of whether it has an ISIN.

(f) Rather than the instrument reference data for the complex trade (e.g. strategy or other instrument where a transaction in the instrument is a complex trade) being reported, the instrument reference data for the components that make up the strategy should be reported under article 27 of MiFIR and article 4 of MAR. This is because the strategy is not a financial instrument itself. This is the case even if the strategy happens to have an ISIN. Each component should be reported as a separate record and in the same way as if it was not part of a strategy - all of the instrument reference data fields should be populated with the instrument reference data for the component.

(g) No, only the components that are admitted to trading or traded on a trading venue should be reported in the instrument reference data.

ESMA_QA_1554

Submission Date

14/11/2018

Status: Published Answer Updated

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Equity transparency

Subject Matter

Transparency - data (pre- and/or post-trade data) available free of charge 15
minutes after publication

Question

How should trading venues, APAs make data (pre- and/or post-trade data) available free of charge 15 minutes after publication and ensure non-discriminatory access to the information? What practices are not compatible with the requirement to make data available free of charge and ensure non-discriminatory access to the information?

ESMA Answer

16-10-2024

Original language

In order to ensure that all potential users can access the information made available free of charge 15 minutes after publication, trading venues and APAs should make clear instructions to the public on their website on how and where to access the data. The post-trade data should be available to anybody free of charge and in a format which can be understood by the average reader.

ESMA considers that publishing information on a website that is not accessible to everybody imposes restrictions on access to the data and does not meet the requirement for making information available free of charge. Similarly, the publication of data through third parties that do not charge specific fees for the relevant data but raise regular, for instance monthly or yearly, fees for subscribing to their services, does not meet the requirement to make information available free of charge. Furthermore, ESMA is of the view that allowing access to the data via a human interface only from ex ante registered IP addresses does not meet the requirement to make information available to the public free of charge. However, such a restriction is acceptable for data provided in a machine readable way.

- Publishing information in a format that prevents users to read, use and copy the information

Trading venues and APAs should publish information in an electronic format that can be directly and automatically read by a computer, and that can be accessed, read, used and copied by any potential user through computer software that is free of charge and publicly available.

ESMA does not consider that publishing data as an image (i.e. in such a way that the user cannot copy the data in a format that can be read by a computer) or requiring the purchase of a specific software for downloading, processing or reading the information meets the requirement of making data available free of charge.

- Requiring market participants to submit search queries in order to access data

The data made available free of charge should be published in a similar format as real-time data published on a reasonable commercial basis.

ESMA does not consider that offering only publication arrangements whereby market participants are required to submit search queries in order to access limited portions of the data (e.g. ISIN-by-ISIN searches, limited time periods) meet the requirement of making data available free of charge, but such search queries could exist in addition.

- Deleting data shortly after publication

The data made available free of charge should replicate the information published on a reasonable commercial basis but with a 15 minutes delay. ESMA is of the view that the information should be available for any party to initiate a retrieval of the data for a period of at least 24 hours from the publication. It is not reasonable to have the data available for a period that is not long enough for it to be downloaded reliably either on an ad-hoc or in a repeatable manner

- No publication of post-trade data on transactions benefitting from a deferral

ESMA recalls that the obligation to make available post-trade data free of charge 15 minutes after publication applies also to transactions benefitting from a deferral. ESMA therefore expects that information on those transactions is made available on the same conditions as information on transactions not subject to deferred publication.

14-11-2018

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 2.10]

ESMA expects trading venues, APAs and CTPs to make post-trade data, as well as pre-trade data, available free of charge 15 minutes after publication in an easily accessible manner for all potential users using a format that can be easily read, used and copied. This is without prejudice to Q&A 1553 which allows, in certain cases, to charge fees or other similar restrictions on data. Furthermore, trading venues, APAs and CTPs are required to ensure the non-discriminatory access to pre- and post-trade data, including for data made available free of charge.

Article 14 of RTS 13 requires APAs and CTPs to publish data in a machine readable way. In order to ensure that the information published by APAs and trading venues can be effectively and efficiently used by the public, ESMA expects that trading venues follow similar publication standards and publish data in a machine-readable way. In addition, APAs, CTPs and trading venues should also provide the data in a format that can be understood by an average reader.

ESMA considers that any practice designed to circumvent the provisions in Article 13(1) of MiFIR and Articles 64(1) and 65(1) and (2) of MiFID II is not compatible with the requirement to make data available free of charge 15 minutes after publication and ensure non-discriminatory access to the information. This includes,

but is not limited to, the following practices:

- Imposing restrictions on access to the published data

In order to ensure that all potential users can access the information made available free of charge 15 minutes after publication, trading venues, APAs and CTPs should make clear instructions to the public on their website on how and where to access the data. The post-trade data should be available to anybody free of charge and in a format which can be understood by the average reader.

ESMA considers that publishing information on a website that is not accessible to everybody imposes restrictions on access to the data and does not meet the requirement for making information available free of charge. Similarly, the publication of data through third parties that do not charge specific fees for the relevant data but raise regular, for instance monthly or yearly, fees for subscribing to their services, does not meet the requirement to make information available free of charge. Furthermore, ESMA is of the view that allowing access to the data via a human interface only from ex ante registered IP addresses does not meet the requirement to make information available to the public free of charge. However, such a restriction is acceptable for data provided in a machine readable way.

- Publishing information in a format that prevents users to read, use and copy the information

Trading venues, APAs and CTPs should publish information in an electronic format that can be directly and automatically read by a computer, and that can be accessed, read, used and copied by any potential user through computer software that is free of charge and publicly available.

ESMA does not consider that publishing data as an image (i.e. in such a way that the user cannot copy the data in a format that can be read by a computer) or requiring the purchase of a specific software for downloading, processing or reading the information meets the requirement of making data available free of charge.

- Requiring market participants to submit search queries in order to access data

The data made available free of charge should be published in a similar format as real-time data published on a reasonable commercial basis.

ESMA does not consider that offering only publication arrangements whereby market participants are required to submit search queries in order to access limited portions of the data (e.g. ISIN-by-ISIN searches, limited time periods) meet the requirement of making data available free of charge, but such search queries could exist in addition.

- Deleting data shortly after publication

The data made available free of charge should replicate the information published on a reasonable commercial basis but with a 15 minutes delay. ESMA is of the view that the information should be available for any party to initiate a retrieval of the data for a period of at least 24 hours from the publication. It is not reasonable to have the data available for a period that is not long enough for it to be downloaded reliably either on an ad-hoc or in a repeatable manner

- No publication of post-trade data on transactions benefitting from a deferral

ESMA recalls that the obligation to make available post-trade data free of charge 15 minutes after publication applies also to transactions benefitting from a deferral. ESMA therefore expects that information on those transactions is made available on the same conditions as information on transactions not subject to deferred publication.

English

ESMA expects trading venues and APAs to make post-trade data, as well as pre-trade data, available free of charge 15 minutes after publication in an easily accessible manner for all potential users using a format that can be easily read, used and copied. This is without prejudice to Q&A 1553 which allows, in certain

cases, to charge fees or other similar restrictions on data. Furthermore, trading venues and APAs are required to ensure the non-discriminatory access to pre- and post-trade data, including for data made available free of charge.

Article 14 of RTS 13 requires APAs to publish data in a machine readable way. In order to ensure that the information published by APAs and trading venues can be effectively and efficiently used by the public, ESMA expects that trading venues follow similar publication standards and publish data in a machine-readable way. In addition, APAs and trading venues should also provide the data in a format that can be understood by an average reader.

ESMA considers that any practice designed to circumvent the provisions in Article 13(1) of MiFIR and Articles 64(1) and 65(1) and (2) of MiFID II is not compatible with the requirement to make data available free of charge 15 minutes after publication and ensure non-discriminatory access to the information. This includes, but is not limited to, the following practices:

- Imposing restrictions on access to the published data

ESMA_QA_1554

Submission Date

14/11/2018

Status: Published Answer Updated

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Equity transparency

Subject Matter

Transparency - data (pre- and/or post-trade data) available free of charge 15
minutes after publication

Question

How should trading venues, APAs make data (pre- and/or post-trade data) available free of charge 15 minutes after publication and ensure non-discriminatory access to the information? What practices are not compatible with the requirement to make data available free of charge and ensure non-discriminatory access to the information?

ESMA Answer

16-10-2024

Original language

In order to ensure that all potential users can access the information made available free of charge 15 minutes after publication, trading venues and APAs should make clear instructions to the public on their website on how and where to access the data. The post-trade data should be available to anybody free of charge and in a format which can be understood by the average reader.

ESMA considers that publishing information on a website that is not accessible to everybody imposes restrictions on access to the data and does not meet the requirement for making information available free of charge. Similarly, the publication of data through third parties that do not charge specific fees for the relevant data but raise regular, for instance monthly or yearly, fees for subscribing to their services, does not meet the requirement to make information available free of charge. Furthermore, ESMA is of the view that allowing access to the data via a human interface only from ex ante registered IP addresses does not meet the requirement to make information available to the public free of charge. However, such a restriction is acceptable for data provided in a machine readable way.

- Publishing information in a format that prevents users to read, use and copy the information

Trading venues and APAs should publish information in an electronic format that can be directly and automatically read by a computer, and that can be accessed, read, used and copied by any potential user through computer software that is free of charge and publicly available.

ESMA does not consider that publishing data as an image (i.e. in such a way that the user cannot copy the data in a format that can be read by a computer) or requiring the purchase of a specific software for downloading, processing or reading the information meets the requirement of making data available free of charge.

- Requiring market participants to submit search queries in order to access data

The data made available free of charge should be published in a similar format as real-time data published on a reasonable commercial basis.

ESMA does not consider that offering only publication arrangements whereby market participants are required to submit search queries in order to access limited portions of the data (e.g. ISIN-by-ISIN searches, limited time periods) meet the requirement of making data available free of charge, but such search queries could exist in addition.

- Deleting data shortly after publication

The data made available free of charge should replicate the information published on a reasonable commercial basis but with a 15 minutes delay. ESMA is of the view that the information should be available for any party to initiate a retrieval of the data for a period of at least 24 hours from the publication. It is not reasonable to have the data available for a period that is not long enough for it to be downloaded reliably either on an ad-hoc or in a repeatable manner

- No publication of post-trade data on transactions benefitting from a deferral

ESMA recalls that the obligation to make available post-trade data free of charge 15 minutes after publication applies also to transactions benefitting from a deferral. ESMA therefore expects that information on those transactions is made available on the same conditions as information on transactions not subject to deferred publication.

14-11-2018

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 2.10]

ESMA expects trading venues, APAs and CTPs to make post-trade data, as well as pre-trade data, available free of charge 15 minutes after publication in an easily accessible manner for all potential users using a format that can be easily read, used and copied. This is without prejudice to Q&A 1553 which allows, in certain cases, to charge fees or other similar restrictions on data. Furthermore, trading venues, APAs and CTPs are required to ensure the non-discriminatory access to pre- and post-trade data, including for data made available free of charge.

Article 14 of RTS 13 requires APAs and CTPs to publish data in a machine readable way. In order to ensure that the information published by APAs and trading venues can be effectively and efficiently used by the public, ESMA expects that trading venues follow similar publication standards and publish data in a machine-readable way. In addition, APAs, CTPs and trading venues should also provide the data in a format that can be understood by an average reader.

ESMA considers that any practice designed to circumvent the provisions in Article 13(1) of MiFIR and Articles 64(1) and 65(1) and (2) of MiFID II is not compatible with the requirement to make data available free of charge 15 minutes after publication and ensure non-discriminatory access to the information. This includes,

but is not limited to, the following practices:

- Imposing restrictions on access to the published data

In order to ensure that all potential users can access the information made available free of charge 15 minutes after publication, trading venues, APAs and CTPs should make clear instructions to the public on their website on how and where to access the data. The post-trade data should be available to anybody free of charge and in a format which can be understood by the average reader.

ESMA considers that publishing information on a website that is not accessible to everybody imposes restrictions on access to the data and does not meet the requirement for making information available free of charge. Similarly, the publication of data through third parties that do not charge specific fees for the relevant data but raise regular, for instance monthly or yearly, fees for subscribing to their services, does not meet the requirement to make information available free of charge. Furthermore, ESMA is of the view that allowing access to the data via a human interface only from ex ante registered IP addresses does not meet the requirement to make information available to the public free of charge. However, such a restriction is acceptable for data provided in a machine readable way.

- Publishing information in a format that prevents users to read, use and copy the information

Trading venues, APAs and CTPs should publish information in an electronic format that can be directly and automatically read by a computer, and that can be accessed, read, used and copied by any potential user through computer software that is free of charge and publicly available.

ESMA does not consider that publishing data as an image (i.e. in such a way that the user cannot copy the data in a format that can be read by a computer) or requiring the purchase of a specific software for downloading, processing or reading the information meets the requirement of making data available free of charge.

- Requiring market participants to submit search queries in order to access data

The data made available free of charge should be published in a similar format as real-time data published on a reasonable commercial basis.

ESMA does not consider that offering only publication arrangements whereby market participants are required to submit search queries in order to access limited portions of the data (e.g. ISIN-by-ISIN searches, limited time periods) meet the requirement of making data available free of charge, but such search queries could exist in addition.

- Deleting data shortly after publication

The data made available free of charge should replicate the information published on a reasonable commercial basis but with a 15 minutes delay. ESMA is of the view that the information should be available for any party to initiate a retrieval of the data for a period of at least 24 hours from the publication. It is not reasonable to have the data available for a period that is not long enough for it to be downloaded reliably either on an ad-hoc or in a repeatable manner

- No publication of post-trade data on transactions benefitting from a deferral

ESMA recalls that the obligation to make available post-trade data free of charge 15 minutes after publication applies also to transactions benefitting from a deferral. ESMA therefore expects that information on those transactions is made available on the same conditions as information on transactions not subject to deferred publication.

English

ESMA expects trading venues and APAs to make post-trade data, as well as pre-trade data, available free of charge 15 minutes after publication in an easily accessible manner for all potential users using a format that can be easily read, used and copied. This is without prejudice to Q&A 1553 which allows, in certain

cases, to charge fees or other similar restrictions on data. Furthermore, trading venues and APAs are required to ensure the non-discriminatory access to pre- and post-trade data, including for data made available free of charge.

Article 14 of RTS 13 requires APAs to publish data in a machine readable way. In order to ensure that the information published by APAs and trading venues can be effectively and efficiently used by the public, ESMA expects that trading venues follow similar publication standards and publish data in a machine-readable way. In addition, APAs and trading venues should also provide the data in a format that can be understood by an average reader.

ESMA considers that any practice designed to circumvent the provisions in Article 13(1) of MiFIR and Articles 64(1) and 65(1) and (2) of MiFID II is not compatible with the requirement to make data available free of charge 15 minutes after publication and ensure non-discriminatory access to the information. This includes, but is not limited to, the following practices:

- Imposing restrictions on access to the published data

ESMA_QA_1552

Submission Date

14/11/2018

Status: Published Answer Updated

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Level 2 Regulation

Regulation 2017/587- RTS on transparency requirements in respect of equity
financial instruments (RTS 1)

Topic

Equity transparency

Additional Legal Reference

Regulation 2017/583- RTS on transparency requirements in respect of non-equity
financial instruments (RTS 2)

Subject Matter

Pre-trade transparency- RFQ system

Question

- a) When should the operator of an RFQ system provide pre-trade transparency?
- b) Which quotes should be made public in a RFQ system?
- c) Can an RFQ system be construed as a two-step process where (i) an RFQ is initiated and quotes are received in response to that RFQ, and (ii) the transactions are ultimately executed following a bilateral confirmation with one of the respondents?

ESMA Answer

16-10-2024

Original language

(a) Trading venues trading equity instruments are responsible for designing their RFQ systems in compliance with the pre-trade transparency requirements defined in MiFIR and specified in Annex I of RTS 1. The arrangements used may differ depending on the approach chosen by individual trading venues. Such approaches might include arrangements where trading interests become executable after a pre-defined period of time but would, in any circumstances, require the indications of interest to be disclosed no later than when they become actionable and in any case before the conclusion of a transaction. However, the conclusion of a transaction is not a condition for the publication of pre-trade transparency. Therefore, pre-trade transparency should also apply where a quote provided on request, including

actionable indications of interest, is not acted upon.

The disclosure of the pre-trade quotes or actionable indications of interest only at the time of execution would not be consistent with the obligations set in Annex I of RTS 1.

(b) A quote received in response to an RFQ that contains all the necessary information to agree on a trade and therefore complies with the definition of an actionable indication of interest as defined in Article 2(1)(33) of MiFIR should be made pre-trade transparent. The requirement within Annex I of RTS 1 that quotes should be made public “no later than when they become executable” is simply meant to ensure that all quotes are treated equally for the purpose of pre-trade transparency and can be published all at the same time. In any case the concept of executable quotes should not be interpreted in a way that would preclude quotes that qualify as A-IOIs to be made pre-trade transparent.

(c) No, Annex I of RTS 1 defines RFQ systems as systems “where a quote or quotes are provided in response to a request for quote submitted by one or more members or participants. The quote is executable exclusively by the requesting member or participant. The requesting member or participant may conclude a transaction by accepting the quote or quotes provided to it on request”. Therefore, the definition does not foresee the possibility to privately negotiate with one RFQ respondent to agree on the final div of the transaction. If such a bilateral negotiation is necessary it should be considered as a separate trading process outside the initial RFQ session.

14-11-2018

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 2.7]

(a) Trading venues **trading equity instruments** are responsible for designing their RFQ systems in compliance with the pre-trade transparency requirements defined in MiFIR and specified in Annex I of RTS 1 ~~and RTS 2~~. The arrangements used may differ depending on the approach chosen by individual trading venues. Such approaches might include arrangements where trading interests become executable after a pre-defined period of time but would, in any circumstances, require the indications of interest to be disclosed no later than when they become actionable and in any case before the conclusion of a transaction. However, the conclusion of a transaction is not a condition for the publication of pre-trade transparency. Therefore, pre-trade transparency should also apply where a quote provided on request, including actionable indications of interest, is not acted upon.

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ESMA_QA_1552

Submission Date

14/11/2018

Status: Published Answer Updated

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Level 2 Regulation

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Topic

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Additional Legal Reference

Regulation 2017/583- RTS on transparency requirements in respect of non-equity
financial instruments (RTS 2)

Subject Matter

Pre-trade transparency- RFQ system

Question

- a) When should the operator of an RFQ system provide pre-trade transparency?
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ESMA Answer

16-10-2024

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14-11-2018

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 2.7]

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(b) A quote received in response to an RFQ that contains all the necessary information to agree on a trade and therefore complies with the definition of an actionable indication of interest as defined in Article 2(1)(33) of MiFIR should be made pre-trade transparent. The requirement within Annex I of RTS 1 ~~and RTS 2~~ that quotes should be made public “no later than when they become executable” is simply meant to ensure that all quotes are treated equally for the purpose of pre-trade transparency and can be published all at the same time. In any case the concept of executable quotes should not be interpreted in a way that would preclude quotes that qualify as A-IOIs to be made pre-trade transparent.

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negotiation is necessary it should be considered as a separate trading process outside the initial RFQ session.

ESMA_QA_1991

Submission Date

09/11/2018

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Topic

Product intervention

Additional Legal Reference

ESMA Decision 2018/795; ESMA Decision 2019/796

Subject Matter

Risk warning prominence

Question

How should a firm ensure the prominence of the appropriate risk warning specified in Annex II of the CFD Decision?

ESMA Answer

09-11-2018

Original language

[ESMA 35-36-1262 Q&As on Product intervention, Q&A nr 5.13]

Pursuant to Article 2(e) of the CFD Decision, a firm must not send a communication directly or indirectly to a retail client, or publish information accessible by a retail client, relating to the marketing, distribution or sale of a CFD unless it includes the appropriate risk warning complying with the conditions in Annex II.

The first paragraph of Section A of Annex II provides: *“The risk warning shall be in a layout ensuring its prominence, in a font size at least equal to the predominant font size and in the same language as that used in the communication or published information”*.

Firms are also required to comply with Article 44 of Commission Delegated Regulation (EU) 2017/565¹, which specifies that information addressed to, or disseminated in such a way that it is likely to be received by, a retail client must give a fair and prominent indication of any relevant risks when referencing any potential benefits of an investment service or financial instrument.

In the context of internet-based marketing, giving prominence to the risk warning implies that it is displayed on the relevant webpages in a way that would signal that the message is of importance and makes it unlikely that a client or a prospective client would not notice it. It should attract attention, for instance, by virtue of its size or position on the webpage.

In deciding whether a particular risk warning is 'prominent', firms should consider the target audience, the characteristics of CFDs and the likely information needs of the average recipient of the communication.

Examples of good practice that will indicate firms have given sufficient prominence to a risk warning include:

- Warnings are shown using easily readable font styles (at least in the predominant font size of the respective communication, letters displayed in a discernible font colour) across a neutral background.
- The size of the warning occupies a noticeable portion of the text displayed, taking into account the content, size and orientation of the communication as a whole.
- Warnings are contained within their own distinct border, drawing the reader's attention to them.
- In the context of web pages, warnings remain fixed on the screen even when the customer scrolls up and down respective web page.
- Warnings are repeated on linked pages further into the website product chain.
- In other communications than web pages, warnings are clearly stated within the main body of the communication.

Examples of poor practice, that will indicate firms have given insufficient prominence to a risk warning include:

- Warnings are obscured through the close proximity of promotional illustrations and/or additional text.

- Warnings are diminished due to their location being outside of the main advertisement border.
- Warnings are diminished through the use of small font sizes and unclear type styles.
- Warnings are contained within a 'pop-up' box that only appears on the user's first visit to a website.
- Warnings are difficult to locate within a website or placed under a separate section or heading that may be overlooked, such as 'FAQs', 'Legal Information' or 'Disclaimers'.
- Firms have not taken into account the different-sized browsers of consumers when positioning risk information (i.e. it is necessary to scroll down to access the information).
- Warnings are superimposed across coloured or patterned backgrounds, which lessens their visual impact.

1. Commission Delegated Regulation (EU) 2017/565 of 25 April 2016 supplementing Directive 2014/65/EU of the European Parliament and of the Council as regards organisational requirements and operating conditions for investment firms and defined terms for the purposes of that Directive (OJ L 87, 31.3.2017, p. 1).

ESMA_QA_1979

Submission Date

09/11/2018

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Topic

Product intervention

Additional Legal Reference

ESMA Decision 2018/795; ESMA Decision 2019/796

Subject Matter

Payments

Question

What is considered “payments for the purpose of entering into a CFD”?

ESMA Answer

09-11-2018

Original language

[ESMA 35-36-1262 Q&As on product intervention Q&A nr 5.2]

The definition of initial margin in the CFD Decision refers to payments for the purpose of entering into a CFD, excluding commission, transaction fees, and any other related costs. Payment for the purpose of entering into a CFD is limited to cash.

“Payments” do not include firms crediting cash to the client’s account based on collateralised cash from other assets, held by the retail client being used as collateral, whether such assets are within or separate to the CFD trading account.

ESMA_QA_1561

Submission Date

04/10/2018

Status: Published Answer Updated

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Non-equity transparency

Subject Matter

Scope of Article 9(1)(c) of MiFIR

Question

What types of derivatives can benefit from the pre-trade transparency waiver provided under Article 9(1)(c) of MiFIR?

ESMA Answer

16-10-2024

Original language

OTC derivatives specified in Article 8a(2) of MiFIR that are both (i) not subject to the trading obligation as referred to in Article 28 of MiFIR and (ii) for which there is not a liquid market and other derivatives for which there is not a liquid market can benefit from the pre-trade transparency waiver set out under Article 9(1)(c) of MiFIR.

04-10-2018

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 4.14]

~~Only~~ **OTC derivatives specified in Article 8a(2) of MiFIR** that are both (i) not subject to the trading obligation **as referred to** ~~specified~~ in Article 28 of MiFIR and (ii) for which there is not a liquid market **and other derivatives for which there is not a liquid market** can benefit from the pre-trade transparency waiver set out under Article 9(1)(c) of MiFIR.

ESMA_QA_1561

Submission Date

04/10/2018

Status: Published Answer Updated

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Non-equity transparency

Subject Matter

Scope of Article 9(1)(c) of MiFIR

Question

What types of derivatives can benefit from the pre-trade transparency waiver provided under Article 9(1)(c) of MiFIR?

ESMA Answer

16-10-2024

Original language

OTC derivatives specified in Article 8a(2) of MiFIR that are both (i) not subject to the trading obligation as referred to in Article 28 of MiFIR and (ii) for which there is not a liquid market and other derivatives for which there is not a liquid market can benefit from the pre-trade transparency waiver set out under Article 9(1)(c) of MiFIR.

04-10-2018

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 4.14]

~~Only~~ **OTC derivatives specified in Article 8a(2) of MiFIR** that are both (i) not subject to the trading obligation **as referred to** ~~specified~~ in Article 28 of MiFIR and (ii) for which there is not a liquid market **and other derivatives for which there is not a liquid market** can benefit from the pre-trade transparency waiver set out under Article 9(1)(c) of MiFIR.

ESMA_QA_1783

Submission Date

03/10/2018

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Topic

Investment advice on an independent basis

Subject Matter

Investment advice on an independent basis

Question

An investment firm only offers financial instruments issued or provided by the investment firm itself or by entities having close links with the investment firm. On a

look-through basis, the financial instruments offered (for example, investment funds, wrappers) allow the investor to indirectly invest in financial instruments issued by entities who do not have close links with the investment firm.

Can such investment firm hold itself out as providing investment advice on an independent basis?

ESMA Answer

03-10-2018

Original language

[ESMA 35-43-349 MiFID II Q&As on Investor protection Ch 5, question 2]

No. In accordance with Article 24(7) of MiFID II, a firm can hold itself out as providing investment advice on an independent basis only if that investment firm assesses “a sufficient range of financial instruments available on the market which must be sufficiently diverse with regard to their type and issuers or product providers to ensure that the client’s investment objectives can be suitably met and must not be limited to financial instruments issued or provided by: (i) the investment firm itself or by entities having close links with the investment firm; or (ii) other entities with which the investment firm has such close legal or economic relationships, such as contractual relationships, as to pose a risk of impairing the independent basis of the advice provided”. When determining the range of financial instruments assessed, an investment firm providing investment advice must consider the financial instruments (directly) offered by the investment firm.

ESMA_QA_1990

Submission Date

28/09/2018

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Topic

Product intervention

Additional Legal Reference

ESMA Decision 2018/795; ESMA Decision 2019/796

Subject Matter

Rolling spot forex

Question

Do ESMA's product intervention measures in relation to CFDs (in the CFD Decision) also apply to rolling spot forex?

ESMA Answer

28-09-2018

Original language

[ESMA 35-36-1262 Q&AS on Product intervention, Q&A 5.12]

Article 1(a) of the CFD Decision provides that a CFD is a derivative other than an option, future, swap or forward rate agreement, the purpose of which is to give the holder a long or short exposure to fluctuations in the price, level or value of an underlying, irrespective of whether it is traded on a trading venue, and that must be settled in cash or may be settled in cash at the option of one of the parties other than by reason of default or other termination event.

Paragraph 8 of the CFD Decision clarifies that rolling spot forex products are in scope. The CFD Decision applies to rolling spot forex that do not qualify as an option, future, swap or forward rate agreement. A forex derivative which uses the spot price as reference value and automatically rolls over at the end of the contract period and allows a party to terminate the contract other than by reason of default or another termination event is a CFD for the purposes of Article 1(a) of the CFD Decision.

ESMA_QA_1695

Submission Date

26/09/2018

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

FX Swaps reporting

Question

How should a transaction in an FX swap admitted to trading on a trading venue or traded on a trading venue be reported under Article 26 and Article 27 of MiFIR?

ESMA Answer

26-09-2018

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 15.1]

If the instrument executed on a trading venue was an FX swap, it should be reported as an executed FX swap based on the requirement of Article 26(1) and in accordance with this Q&A. The same principle will apply to trading carried out outside of the trading venue.

If the instrument executed on a trading venue was an FX forward, it should be reported as an executed FX forward based on the requirement of Article 26(1). The same principle will apply to trading carried out outside of the trading venue.

If the instrument admitted to trading or traded on a trading venue was an FX swap, it should be reported as an FX swap based on the requirement of Article 27(1) and in accordance with this Q&A.

If the instrument admitted to trading or traded on a trading venue was an FX forward, it should be reported as an FX forward based on the requirement of Article 27(1).

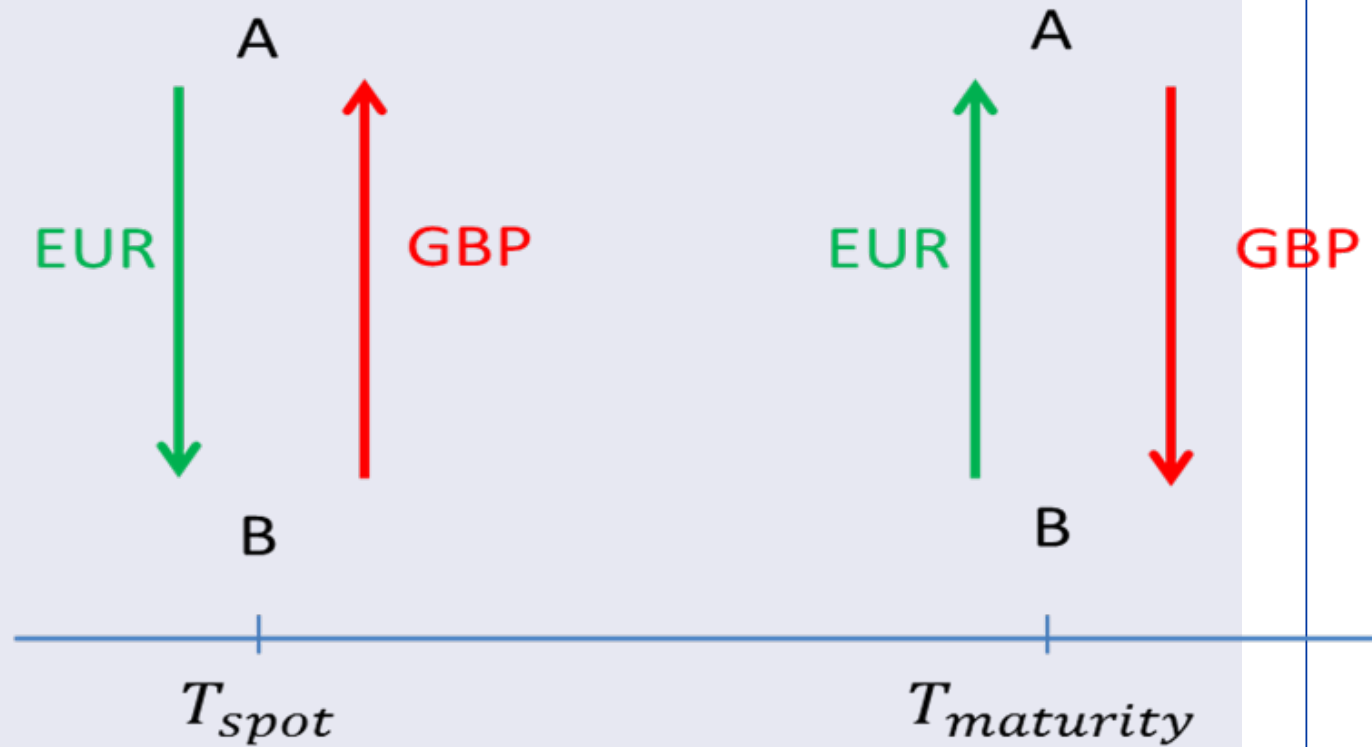
Examples

On March 13th 2018, investment firms A and B enter in a EUR/GBP (the currency mentioned first is the 'base' currency. The other currency is the 'terms' or 'quote' currency) spot-forward swap or a forward starting swap instrument on a trading venue regardless of how the instrument has been subsequently confirmed or settled. The instrument has the following characteristics:

- notional of the instrument: 1M€;
- maturity date of the instrument: September 15th 2018;
- the tenor of this instrument is 6 months
- ISIN code of the financial instrument: EZ0123456789;
- the price of the instrument is given in 5 swap points^[1] expressed in units of terms currency per unit of base currency according to the market convention for the currency pair which in this example is 0.0001£ per 1€;
- The EURGBP FX spot rate reference is 0.8200.

The counterparty^[2] that for the far leg (which is closer to the maturity date) is delivering the currency which is first when sorted alphabetically by ISO 4217 standard should be identified as seller. Therefore, the party which, on the near leg, delivers the currency which is first when sorted alphabetically should be identified as buyer.

In our example, investment firm B who will (in 6 months) receive the GBP and deliver the EUR is the seller of the FX Swap. Investment firm A who will (in 6 months) deliver the GBP and receive the EUR is the buyer of the FX swap.



The relevant fields in the transaction reporting as per article 26 of MIFIR should look like:

#	Field	Reporting of IF A	Reporting of IF B
7	Buyer	LEI of IF A	LEI of IF A
16	Seller	LEI of IF B	LEI of IF B
28	Trade date time	2018-03-13:Thh:mm:ss:ddddddZ	2018-03-13:Thh:mm:ss:ddddddZ
30	quantity	1,000,000	1,000,000
31	quantity currency	EUR	EUR
33	price	0.0005	0.0005
34	Price currency	GBP	GBP
36 ¹	Venue	{MIC}	{MIC}
41	instrument identification code	EZ0123456789	EZ0123456789

¹ If this transaction is carried out outside the trading venue, then field 36 should be populated with XOFF.

The price should be populated with the swap points and the monetary value XML tag should be used[3].

In the quantity field #30 the executing entity (buyer and seller) should report the amount of the FX SWAP in the base currency for the front (near) leg.

In the quantity currency field #31, the executing entity (buyer and seller) should report the base currency of the FX SWAP.

The price currency field should be populated with the terms currency i.e. GBP in this example.

The below table shows how the transaction reports would change if the amount or currency of the notional differed. The fields 13 and 47 (see next page) in the reference data (RTS 23) will remain unchanged.

	Scenario 1 (example above) EURGBP; Notional amount: EUR 1 million	Scenario 2 EURGBP; Notional amount: GBP 1 million
	Firm A: "I want a EURGBP FX Swap. The notional amount is EUR 1 million." Firm B: "My offer is 5 (swap points). The EURGBP FX spot rate reference is 0.8200."	Firm A: "I want a EURGBP FX Swap. The notional amount is GBP 1 million." Firm B: "My offer is 5 (swap points). The EURGBP FX spot rate reference is 0.8200."
FX spot rate reference (applies to front leg)	0.8200	0.8200
Swap points	0.0005	0.0005
FX forward rate reference (applies to far leg)	0.8205	0.8205
Cash flows¹		
Front leg (EUR payment)	-1,000,000	-1,219,512
Front leg (GBP payment)	820,000	1,000,000
Far leg (EUR payment)	1,000,000	1,218,769
Far leg (GBP payment)	-820,500	-1,000,000
Transaction report		
Field 4 executing entity identification code firm	LEI of IF A	LEI of IF A
Field 7 Buyer	LEI of IF A	LEI of IF A
Field 16 Seller	LEI of IF B	LEI of IF B
Field 30 quantity	1,000,000	1,219,512
Field 31 Quantity currency	EUR	EUR
Field 33 Price (monetary value)	0.0005	0.0005
Field 34 Price currency	GBP	GBP
Field 41 instrument identification code	EZ0123456789	EZ0123456789

¹ The sign for the cash flow indicates whether payment is being made or received. A negative cash flow indicates that firm A is making the payment.

The quantity in field 30 in the transaction report is always shown as positive.

The examples show the reports of firm A but the reports of firm B would be identical.

As per article 27 of MiFIR, the trading venue or SI admitting to trade or trading this instrument shall report it in FIRDS. The following table shows the expected reporting of the instrument reference data by trading venues or SI (only the relevant fields are displayed):

#	Field	Value
1	Instrument identification code	EZ0123456789
3	Instrument classification	SFA*** or SFC*** ¹
13	Notional currency 1	EUR
24	Expiry date	2018-09-15
34	Delivery type	'PHYS' ²
47	Notional currency 2	GBP

¹ SFA*** for a spot-forward swap and SFC*** for a forward starting swap.

² For populating the delivery type field, the definitions in the ISO 10962:2015 CFI standard should be considered. The value 'PHYS' should be populated in the following case: "delivery of traded currencies on settlement date". The value 'CASH' should be populated in the following case: "on settlement date of the trade, if the settlement amount is positive, then the currency buyer will pay that amount in the settlement currency to the currency seller; if that amount is negative, the seller will make that payment to the buyer".

Notional currency 1 should be populated with the 1st currency when sorted alphabetically by ISO 4217 standard.

Notional currency 2 should be populated with the second currency when sorted alphabetically by ISO 4217 standard.

[1] The swap points are the difference between the rate for the near leg and the rate for the far leg

[2] As per Article 9 EMIR, and Question 24 of the Q&A No 648/2012 on OTC derivatives

[3] Notional currency 1 may not be the base currency of the contract.

ESMA_QA_1691

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26/09/2018

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Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Field 14 and Field 17 – Total issued nominal amount

Question

In the case of Bonds or other forms of securitised debt, what should be reported in Commission Delegated Regulation (EU) 2017/585 Annex Table 3 Field 14 (Total

issued nominal amount) if the total nominal amount changes? Similarly, what should be reported in Commission Delegated Regulation (EU) 2017/585 Annex Table 3 Field 17 (Nominal value per unit/minimum traded value) if nominal value per unit/minimum traded value changes?

ESMA Answer

26-09-2018

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 11.1]

In the case of Bonds or other forms of securitised debt, a trading venue should update Field 14 (Total issued nominal amount) accordingly if the total nominal amount changes (increasing or decreasing). The same approach should be applied to Field 17 (Nominal value per unit/minimum traded value). Trading venues are not expected to report under Field 14 the total size of the issuance programme (i.e. the total nominal amount that can be issued under this programme) under which the specific instruments have been issued but only the nominal amount effectively issued for the specific ISIN being reported (and taking into account the tap issuances and buy-backs that might occur for this specific ISIN).

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Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

FIRDS fields 8 to 11

Question

How should a trading venue or SI populate fields 8 to 11 in reports under Art. 4 MAR and Art. 27 MiFIR?

ESMA Answer

26-09-2018

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 21.1]

A trading venue or SI should populate fields 8 to 11 in reports under Art. 4 MAR and Art. 27 MiFIR as shown in the scenarios described below.

Field #	Field name	Content to be reported	Case 1 Admission to trading (only on RM)	Case 2 Admission to trading (only on RM)	Case 3 Admission to trading (only on RM)	Case 4 Admission to trading (only on RM)	Case 5 Admission to trading (only on RM)	Case 6 Admission to trading (only on RM)	Case 7 traded (MTF and OTF)	Case 8 traded (MTF and OTF)
			In case the request was sent by a third party. The issuer has approved admission to trading on this trading venue.	In case the request was sent by a third party. The issuer has not approved admission to trading on this trading venue.	In case the issuer has sent the request for admission to trading to the trading venue.	In case of derivative trading venues, because the trading venue is the issuer.	The trading venue decides to admit or there is an admission by law. No request by issuer or third party, but the issuer has approved.	The trading venue decides to admit. No request by issuer or third party, and the issuer has not approved.	The issuer has requested or approved the trading in its financial instruments on this trading venue.	The issuer has requested or approved the trading in its financial instruments on this trading venue.
8	Request for admission to trading by issuer	Whether the issuer of the financial instrument has requested or approved the trading or admission to trading of its financial instrument on a trading venue.	TRUE	FALSE	TRUE	FALSE	TRUE	FALSE	TRUE	FALSE
9	Date of approval of the admission to trading	Date and time the issuer has approved admission to trading or trading in its financial instruments on a trading venue.	Date-Time (of the issuer approval)	left blank	Date-Time (of the issuer approval)	left blank	Date-Time (of the issuer approval)	left blank	Date-Time (of the issuer approval)	left blank

10	Date of request for admission to trading	Date and time of the request for admission to trading on the trading venue.	Date-Time (of the third party request)	Date-Time (of the third party request)	Date-Time (of the issuer request)	left blank	left blank	left blank	left blank	left blank
11	Date of admission to trading or date of first trade	Date and time of the admission to trading on the trading venue or the date and time when the instrument was first traded or an order or quote was first received by the trading venue.	Date-Time (of the admission)	Date-Time (of the admission)	Date-Time (of the admission)	Date-Time (of the admission)	Date-Time (of the admission)	Date-Time (of the admission)	Date-Time (of first trading)	Date-Time (of first trading)

Note: if the issuer has requested the admission to trading, this is taken to mean that the issuer approved the trading on that trading venue at the time of the request. Furthermore, if the situation alters because the issuer has changed its mind after making the request, field 9 should be updated by being left blank.

ESMA_QA_1697

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Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Interest Rate Swaps reporting

Question

How should a transaction in an interest rate swap admitted to trading on a trading venue or traded on a trading venue be reported under Article 26 and Article 27 of

MiFIR?

ESMA Answer

26-09-2018

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 16.2]

Example 1: CFI code SRC*S* fixed-floating with single currency

The principles for reporting of a fixed-floating swap are covered in the ESMA Q&A 1 in section 14 on financial instruments' volatile attributes.

10 Years 3% EUR VS EURIBOR 6 MONTHS

Investment Firm X buys an interest rate swap (ISIN EZ0000000006) from Investment Firm Y at a notional amount of EUR 100,000,000 on Trading Venue M on 26 February 2018 at 12:05:41:567 UTC. The expiry date of the swap is 28 February 2028.

Firm X pays 3% while Firm Y pays EURIBOR 6 Months

Transaction report would be as follows^[1]:

N	Field	Values Report Investment Firm X	Values Report Investment Firm Y
4	Executing entity identification code	{LEI} of Investment Firm X	{LEI} of Investment Firm Y
7	Buyer identification code	{LEI} of Investment Firm X	{LEI} of Investment Firm X
16	Seller identification code	{LEI} of Investment Firm Y	{LEI} of Investment Firm Y
28	Trading date time	2018-02- 26T12:05:41:56 7	2018-02- 26T12:05:41:56 7
30	Quantity	'100000000'	'100000000'
31	Quantity currency	'EUR'	'EUR'
33	Price	3	3
34	Price Currency		
36	Venue ⁴¹	Segment {MIC} of Trading Venue M	Segment {MIC} of Trading Venue M
38	Up-front payment	0	0
41	Instrument identification code	{ISIN} of instrument [EZ0000000006]	{ISIN} of instrument [EZ0000000006]

As set out in the RTS Table of fields (field 7 buyer identification code) the buyer is the counterparty paying the fixed rate.

X is paying the fixed rate so is the buyer.

The price field is populated with the amount of the fixed rate (3%).

Field 43 (Fixed rate of leg 1) is blank in the instrument reference data.

The instrument reference data would be as follows:

Field no.	Field Name	Value
1	Instrument identification code	EZ0000000006
3	Instrument classification	SRC*S*
13	Notional currency 1	EUR
24	Expiry date	2028-02-28
25	price multiplier	1
28	Underlying index name	EURI
29	Term of the underlying index	6 MNTH
34	Delivery type	PHYS
40	Reference rate	EURI
41	IR Term of contract	10 YEAR
42	Notional currency 2	
43	Fixed rate of leg 1	
44	Fixed rate of leg 2	
45	Floating rate of leg 2	
46	IR Term of contract of leg 2	

Example 2: CFI SRA*S*, Tenor basis swap (float-to-float single currency)

10 Years EUR EURIBOR 3 months + 2 basis points VS EURIBOR 6 MONTHS

In the buyer identification code field the RTS provides:

In the case of basis swaps (float to float) interest rate swaps the buyer shall be the counterparty that pays the spread

Firm X Investment trades a basis swap (ISIN EZ0000000007) with Investment Firm Y at a notional amount of EUR 100,000,000 on Trading Venue M on 26 February 2018 at 12:05:41:567 UTC. The expiry date of the swap is 28 February 2028.

Investment Firm X pays 3 month EUR EURIBOR + 2 basis points while Investment Firm Y pays 6-month EUR EURIBOR.

Transaction report would be as follows^[2]:

N	Field	Values Report Investment Firm X	Values Report Investment Firm Y
4	Executing entity identification code	{LEI} of Investment Firm X	{LEI} of Investment Firm Y
7	Buyer identification code	{LEI} of Investment Firm X	{LEI} of Investment Firm X
16	Seller identification code	{LEI} of Investment Firm Y	{LEI} of Investment Firm Y
28	Trading date time	2018-02- 26T12:05:41:56 7	2018-02- 26T12:05:41:56 7
30	Quantity	'100000000'	'100000000'
31	Quantity currency	'EUR'	'EUR'
33	Price	2	2
34	Price Currency		
36	Venue ⁴²	Segment {MIC} of Trading Venue M	Segment {MIC} of Trading Venue M
38	Up-front payment	0	0
41	Instrument identification code	{ISIN} of instrument [EZ0000000007]	{ISIN} of instrument [EZ0000000007]

Firm X is paying the spread and is therefore populated as the buyer.

If the spread was negative i.e. Firm X was paying 3 month EUR EURIBOR - 2 basis points then Firm X should still be reported as the buyer but the price would be reported as '-2' in the reports of X and Y.

We are identifying the buyer as the payer of the spread

In the reference data the following should be shown:

- Leg 1 (field 28/40 and 29) = the leg with the reference rate that is first when sorted alphabetically
- Leg 2 (field 45 and 46) the other leg.
- Notional currency 1 = the currency for the legs.

Should the reference data be identical as in the example being considered here then the following rules should be applied to determine which term applies to leg 1 and is to be populated in field 29:

1. if the term unit is the same order the term value numerically from lowest to highest
2. if the term unit is different order chronologically by the term unit.

The instrument reference data would be as follows:

Field no.	Field Name	Value
1	Instrument identification code	EZ00000000007
3	Instrument classification	SRA*S*
13	Notional currency 1	EUR
24	Expiry date	2028-02-28
25	price multiplier	1
28	Underlying index name	EURI
29	Term of the underlying index	3 MNTH
34	Delivery type	PHYS
40	Reference rate	EURI
41	IR Term of contract	10 YEAR
42	Notional currency 2	
43	Fixed rate of leg 1	
44	Fixed rate of leg 2	
45	Floating rate of leg 2	EURI
46	IR Term of contract of leg 2	6 MNTH

As set out in the Commission Delegated Regulation field 46 is the reference period of the interest rate of leg 2.

[1] If this transaction is carried out outside the trading venue then field 36 should be populated with XOFF.

[2] If this transaction is carried out outside the trading venue then field 36 should be populated with XOFF.

ESMA_QA_1696

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Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Interest Rate Swaps reporting

Question

What is the relationship between the interest rate term of the interest rate swap contract (tenor) field 41 (of Table 3 of Commission Delegated Regulation 2017/585

) and expiry date and the ISIN?

ESMA Answer

26-09-2018

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 16.1]

If the expiry date and the interest rate term of the contract (tenor) are the same and the other fields in the reference data are the same then the instrument will have the same ISIN. So, for example, a forward starting contract that has the same expiry date and tenor and the same other characteristics as a contract starting immediately will have the same ISIN (see Examples 1-3 in the table below) and if the tenor and/or expiry of two instruments that otherwise share the same characteristics differ then they will have a different ISIN (see Examples 3-7 in the table below).

Examples

Scenario	Trading date	Amount of forward start/effective from date	Field 41 (IR term of contract) [1]	Expiry date	ISIN
----------	--------------	---	---------------------------------------	-------------	------

1	28/02/2018	2 years (28/02/2020)	8 YEARS	28/02/2028 (28/02/2018 + 2 Y + 8Y)	EZ0000000001
2	28/02/2019	1 year (28/02/2020)	8 YEARS	28/02/2028 (28/02/2019+1Y+8Y)	EZ0000000001
3	28/02/2020	None (28/02/2020)	8 YEARS	28/02/2028 (28/02/2020+8Y)	EZ0000000001
4	26/02/2018	2 years (26/02/2020)	8 YEARS	26/02/2028 (26/02/2018+2Y+8Y)	EZ0000000002
5	28/02/2018	5 years (28/02/2023)	5 YEARS	28/02/2028 (28/02/2018+5Y+5Y)	EZ0000000003
6	28/02/2018	6 years (28/02/2024)	4 YEARS	28/02/2028 (28/02/2018+6Y+4Y)	EZ0000000004
7	28/02/2020	2 years (28/02/2022)	8 YEARS	28/02/2030 (28/02/2018+ 2Y+8Y)	EZ0000000005

The instrument reference data would be as follows:

Rules for population of fields

Field no. Field Name

1 Instrument identification code

3 Instrument classification

The currency of leg 1[2] 13 Notional currency 1

24 Expiry date

25 Price multiplier

28 Underlying index name

the floating rate in case of a fixed/floating IRS or the floating rate of leg 1[3] in a floating/floating IRS

29 Term of the underlying index

The value P - Physical is to be used when an interest rate swap is Deliverable where Deliverable means that the settlement, i.e. payment, currency amounts are paid in the respective reference currency for each leg of the swap for which the payments are being made.

34 Delivery type

The value C - Cash is to be used when an interest rate swap is Non-Deliverable where Non-Deliverable means that the settlement, i.e. payment, currency amounts are paid in a currency other than the respective reference currency for each leg of the swap for which the payments are being made.

This field should replicate field 28

40 Reference rate

Field populated as the original interest rate term/tenor of the contract[\[4\]](#)[\[5\]](#)

41 IR Term of contract

42 Notional currency 2

43[\[6\]](#) Fixed rate of leg 1

44[\[7\]](#) Fixed rate of leg 2

The information of the floating rate of leg 2 (the other leg) in floating/floating IRS

45 Floating rate of leg 2

[1] When calculating the tenor, reporting parties should use the effective date as the basis (i.e. column 3).

[2] Leg 1 is determined according to the criteria set out in Examples 1-2 in this Q&A

[3] Leg 1 is determined according to the criteria set out in Examples 1-2 in this Q&A

[4] This should remain unchanged in FIRDS throughout the life of the instrument – trading venues and SIs should not amend the instrument reference data to show the remaining interest rate term/tenor of the interest rate swap.

[5] The population of term for field 41 has a limitation in the format since only integers may be used. Therefore the following approach is to be taken:

1) If the contract duration fits a standard term, the standard term should be populated in field 41. This approach requires starting with the largest term unit and working downwards:

- If the duration is a whole number of years, that value should be populated in field 41.
- If the duration is a whole number of months (based on actual dates not notional 30-day month), that value should be populated in field 41.
- If the duration is a whole number of weeks, that value should be populated in field 41.
- If none of the above applies, the correct number of days should be populated in field 41.

2) When it is not possible to populate field 41 (term of the contract) with the correct number of days due to the restriction of a maximum of 999 days, an investment firm should calculate the duration of the contract in the next major unit (i.e. weeks) using a standard week of 7 days. If this still exceeds the maximum number of weeks to populate (i.e. 999 weeks) then calculate in the next major unit (i.e. months) using the number of days in the actual month referred in the term/tenor. The remainder can then be calculated based on a standard 30 day month. E.g. if the remainder is ≥ 15 days, then round up and if the remainder is < 15 then round down.

Example: A contract has a term of 19 years 11 months and 6 days = $19 \times 12 + 11$ months with remainder of 6 days, which is rounded down. Therefore, the term is 239 months.

[6] It is a volatile element and will therefore not be populated.

[7] It is a volatile element and will therefore not be populated.

ESMA_QA_1989

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30/07/2018

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Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Topic

Product intervention

Additional Legal Reference

ESMA Decision 2018/795; ESMA Decision 2019/796

Subject Matter

Structured finance products

Question

Are structured finance products within the scope of the BO Decision or the CFD Decision?

ESMA Answer

30-07-2018

Original language

[ESMA 35-36-1262 Q&A Product intervention, Q&A 5.11]

No, structured finance products are not within the scope of the BO Decision or the CFD Decision.

“Structured finance products” are defined in Article 2(1)(28) of MiFIR as “those securities created to securitise and transfer credit risk associated with a pool of financial assets entitling the security holder to receive regular payments that depend on the cash flow from the underlying assets”. Article 1(a) of the CFD Decision, on the other hand, defines a CFD as a derivative with a “long or short exposure to fluctuations in the price, level or value of an underlying”.

These are therefore two distinct types of products, one type that provides a payment originating from the cash flow of the underlying assets (structured finance products) and another type that provides a payment from the CFD provider based on differences in the price, level or value of an underlying and which depends on whether a long or short position has been taken (CFDs).

ESMA_QA_1988

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30/07/2018

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Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Topic

Product intervention

Additional Legal Reference

ESMA Decision 2018/795; ESMA Decision 2019/796

Subject Matter

Securitised derivatives

Question

Are turbo certificates within the scope of the CFD Decision?

ESMA Answer

30-07-2018

Original language

[ESMA 35-36-1262 Q&As on Product intervention, Q&A 5.10]

The CFD Decision explains in Recital 10 that *inter alia* turbo certificates are not within its scope because, although similar to CFDs, they have different product features.

ESMA clarifies that turbo certificates, unlike CFDs, have all of the following features:

- Turbo certificates are not margined products and the investor cannot change the leverage of the turbo certificate by adding margin to or detracting margin from a specific trading account. Investors buy the turbo-certificate and are charged transactional fees, for entering the contract;
- Turbo certificates do not have a contingent liability for the retail client. In other words, after the purchase of the product, the retail client has no possibility of being liable for a further payment when the transaction is completed or the position is closed (other than commission, transaction fees or other related costs);

- Turbo certificates qualify as a transferable security as defined in Article 4 (1) (44) (c) of MiFID; and
- Turbo certificates are typically listed and traded on a regulated market or MTF, which includes additional transparency requirements.

However, ESMA acknowledges that turbo certificates have comparable features to CFDs, such as leverage. Firms should pay particular attention to the leverage made available to retail clients and consider whether the product is offered on terms that act in the best interests of the client. ESMA and NCAs will closely monitor whether new distribution trends in respect of turbo certificates raise similar investor protection concerns for retail clients and whether any firms attempt to circumvent ESMA's CFD Decision and will act as necessary.

ESMA_QA_1576

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12/07/2018

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Double volume cap

Additional Legal Reference

Regulation 2017/577- RTS on markets in financial instruments with regard to
regulatory technical standards on the volume cap mechanism and the provision of
information for the purposes of transparency and other calculations(RTS 3)

Subject Matter

Question

In case of a corporate action where a traded ISIN is replaced with a new ISIN, how will the new ISIN be treated for the purposes of the DVC?

ESMA Answer

12-07-2018

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 6.5]

In case of a corporate action, where a traded ISIN is replaced with a new ISIN, the new ISIN will be treated as a newly admitted to trading or newly traded financial instrument and the ESMA DVC calculations and publication will not take the trading activity of the old ISIN into account.

In addition, while ESMA will publish the percentage of trading in this financial instrument carried out under the reference price waiver and the negotiated transaction waiver from the start of trading, suspensions following the breach of the thresholds set out under Article 5 of MiFIR should only be triggered when at least 12 months of data for the new ISIN is available.

ESMA is however reflecting on ways and means to ensure more continuity in the treatment of financial instruments subject to corporate actions and might decide to revisit this approach in the future.

ESMA_QA_1987

Submission Date

01/06/2018

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Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Topic

Product intervention

Additional Legal Reference

ESMA Decision 2018/795; ESMA Decision 2019/796

Subject Matter

Clients established outside the Union and non-Union nationals

Question

Do the BO Decision and CFD Decision apply to retail clients established outside the Union or to retail clients who are non-Union nationals?

ESMA Answer

01-06-2018

Original language

[ESMA 35-36-1262 Q&As on Product intervention, Q&A 5.9]

Yes, both the BO Decision and the CFD Decision apply, in common with other investor protection requirements in the regime established by MiFID II and MiFIR, in respect of investment services and activities provided by investment firms or credit institutions authorised in the Union, without discriminating on the basis of the location or nationality of their clients.

ESMA_QA_1986

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01/06/2018

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Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Topic

Product intervention

Additional Legal Reference

ESMA Decision 2018/795; ESMA Decision 2019/796

Subject Matter

Guaranteed stop loss orders

Question

How should firms apply the margin close-out rule for CFDs where they also offer guaranteed stops or limited risk protection on a per position basis?

ESMA Answer

01-06-2018

Original language

[ESMA 35-36-1262 Q&As on Product intervention, Q&A 5.8]

ESMA is aware that some firms currently offer guaranteed stop loss orders or limited risk features on a per position basis. In such cases, current market practice is for firms to typically charge the client margin commensurate to the maximum loss they would incur at the guaranteed stop level. Firms also ring-fence margin dedicated to a position with a guaranteed stop from consideration of whether a margin close-out event is triggered across the rest of a client's leveraged CFD positions (based on the firm's terms and conditions).

The margin close-out rule applies on an account basis across all open CFD positions in a client's account based on 50% of the initial margin required. This includes positions with a guaranteed stop loss order or limited risk protection.

ESMA recognises that this will create situations in which a client's position operating with a guaranteed stop could be closed out prior to the guaranteed stop level being reached as firms are required to close out one or more open CFDs at 50% of the initial margin protection required per account for all those open CFD positions. This

would most likely occur where the guaranteed stop is set at a point where a client would be losing more than 50% of the initial margin required for all open CFD positions, although the guaranteed stop would still have value in a market gap event in which the margin close-out could not be executed without price slippage. Guaranteed stops set closer to the market than 50% of initial margin required will continue to provide enhanced protection, in addition to the protection provided by negative balance protection at account level mandated in the intervention measures.

ESMA expects firms to explain to their clients in a clear, fair and not misleading manner how the intervention measures will impact the operation of their account if they currently use guaranteed stops or limited risk protection, including by amending their terms and conditions as necessary in advance of the application of the measures. Firms may need to consider whether costs or charges levied by the firm for guaranteed stops should be revised to reflect the potentially reduced value they have for clients.

ESMA_QA_1984

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01/06/2018

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Topic

Product intervention

Additional Legal Reference

ESMA Decision 2018/795; ESMA Decision 2019/796

Subject Matter

CFDs referencing futures

Question

Why are CFDs referencing futures contracts not separately identified in Annex I to the CFD Decision to temporarily restrict contracts for differences in the Union in accordance with Article 40 of MiFIR?

ESMA Answer

01-06-2018

Original language

[ESMA 35-36-1262 Q&AS on Product intervention, Q&A nr 5.7]

Annex I to the ESMA CFD Decision sets out the different initial margin percentages by type of underlying. The different types of underlyings do not explicitly refer to CFDs referencing futures contracts. Nevertheless, as futures also give the holder an exposure to a specific underlying this specific underlying should be considered for the purpose of the ESMA CFD Decision. For example, the minimum initial margin percentage for a CFD on a future on the USD/EUR pair is 3.33% of the notional value of the CFD. For this purpose ESMA considers a CFD on the future on the USD/EUR to have a type of underlying that is a major currency.

ESMA_QA_1983

Submission Date

01/06/2018

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Topic

Product intervention

Additional Legal Reference

ESMA Decision 2018/795; ESMA Decision 2019/796

Subject Matter

Binary options

Question

How does ESMA define a binary option? In particular, is it limited to instruments with only two outcomes?

ESMA Answer

01-06-2018

Original language

[ESMA Q&As on Product intervention, Q&A 5.6]

The temporary prohibition on the sale, marketing or distribution of binary options in respect of retail clients applies to binary options when the payment is limited to a predetermined fixed amount or zero if the underlying of the derivative meets one or more predetermined conditions, and *vice versa*.

In addition to the contracts described in the recitals of the BO Decision, this includes contracts in which payment is contingent on multiple events occurring. For example, a contract in which the client receives a EUR 2,000 payout for a EUR 500 investment (premium) if the DAX30 reaches 12,035, the USD/EUR pair 0.8235, and Brent Crude reaches USD 70.40.

This also includes contracts in which the payment to the client increases if certain events occur. For example, it includes a contract according to which the holder receives a payout of EUR 600 if the USD/EUR pair reaches 0.8235 plus an additional payout (bonus) of EUR 200 if the USD/EUR pair reaches 0.8300. In other words, the holder receives a total payout of EUR 600 if the USD/EUR pair reaches 0.8235 but not 0.8300, and a total payout of EUR 800 if the USD/EUR pair reaches

0.8300.

ESMA_QA_1982

Submission Date

01/06/2018

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Topic

Product intervention

Additional Legal Reference

ESMA Decision 2018/795; ESMA Decision 2019/796

Subject Matter

Monetary benefits

Question

What is considered a “monetary benefit” in relation to the prohibition made to investment firms providing retail clients with a payment, monetary or non-excluded monetary benefit in relation to CFDs?

ESMA Answer

01-06-2018

Original language

[ESMA 35-36-1262 Q&As on Product intervention, Q&A 5.5]

The CFD Decision prohibits any form of monetary and non-monetary benefits that aim at incentivising retail investors to trade CFDs or to trade larger volumes of CFDs. The scope of the prohibition includes monetary benefits such as, but not limited to, the offering of bonuses in relation to the opening a new account or the offering of rebates on fees, including volume- based rebates, charged by an investment firm to its retail clients.

Monetary benefits that do not constitute an incentive for retail investors to trade CFDs or to trade larger volumes of CFD, such as lower fees, not linked to volumes, for all retail clients (i.e. competition on price), are allowed.

ESMA_QA_1981

Submission Date

01/06/2018

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Topic

Product intervention

Additional Legal Reference

ESMA Decision 2018/795; ESMA Decision 2019/796

Subject Matter

Aggregate liability

Question

What is considered the retail client's aggregate liability in relation to negative balance protection?

ESMA Answer

01-06-2018

Original language

[ESMA 35-36-1262 Q&As on product intervention, question 5.4]

Negative balance protection means firms must limit the retail client's aggregate liability for all CFDs connected to a CFD trading account to the funds in that CFD trading account. This implies that a client can never lose more money than the funds specifically dedicated to CFD trading.

Funds in a CFD trading account are limited to the cash in the CFD trading account and unrealised net profits from open positions. Funds in the CFD trading account do not include any funds or other assets held in client accounts for purposes other than CFD trading. Open CFD positions means *contracts for differences* contracts (as defined in Article 1(a) of the CFD Decision) entered in to by the client.

This does not prevent firms from using the profits from the closure of open positions, as required by *margin close-out protection* as defined in Article 1(e) of the CFD Decision.

ESMA_QA_1980

Submission Date

01/06/2018

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Topic

Product intervention

Additional Legal Reference

ESMA Decision 2018/795; ESMA Decision 2019/796

Subject Matter

Margin close-out protection

Question

What is considered to be the 'sum of funds in the CFD trading account' and the "unrealised net profits of all open CFDs connected to that account' for the purposes of margin close-out protection?

ESMA Answer

01-06-2018

Original language

[ESMA 35-36-1262 Q&As on product intervention, Q&A 5.3]

The sum of funds in the CFD trading account means any cash credited to the client's relevant CFD trading account and cash only. No other type of asset (e.g. other financial instruments) within or separate to the CFD trading account may be taken into account.

The unrealised net profits of all open CFDs connected to that account means the sum of unrealised gains and losses of all open CFD positions recorded in the relevant account.

ESMA_QA_1978

Submission Date

01/06/2018

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Topic

Product intervention

Additional Legal Reference

ESMA Decision 2018/795; ESMA Decision 2019/796

Subject Matter

Existing contracts

Question

How should firms apply these restrictions to existing retail client accounts with open CFD contracts and binary option contracts entered into prior to the date of entry into application?

ESMA Answer

01-06-2018

Original language

[ESMA 35-36-1262 Q&As on product intervention Q&A 5.1]

The prohibition of the marketing, distribution or sale of binary options to retail clients and the restrictions on the marketing, distribution or sale of CFDs to retail clients apply from the moment that the measures in Decision 2018/795 and Decision 2018/796 come into application.

Firms are not required to apply the product intervention measures to CFDs sold to retail clients prior to this date. The restrictions on the marketing, distribution or sale of CFDs apply to CFD positions entered into from the date the product intervention measures come into application. Firms are required to cease the marketing, distribution or sale of binary options from the date the product intervention measures in relation to binary options come into application.

In relation to CFDs, firms are required to apply the *margin close-out protection* and the *negative balance protection* under Article 1(e) and 1(f) of Decision 2018/796 to new CFD positions when the measures come into effect. Firms may choose to

create separate sub-accounts for CFD positions opened prior to the implementation date. Alternatively, firms may choose to extend the *margin close-out protection* and the *negative balance protection* to existing CFD positions. Firms should inform clients of the changes in the terms and conditions of their account in a durable medium in good time before the changes apply.

Firms exercising their discretion to close retail clients' open CFD and binary option positions, other than in accordance with existing terms and conditions, prior the measures coming into effect without the express consent of their retail clients will not be considered as acting in the best interests of the client as required under Article 24 of MiFID II.

Retail clients are not required to post additional margin for existing CFD positions to meet the initial margin protection requirement under Article 1(d) and Annex I of Decision 2018/796.

Retail clients are only required to provide margin required under Article 1(d) and Annex I for CFD positions entered into after the date of application.

ESMA_QA_1555

Submission Date

29/05/2018

Status: Published Answer Updated

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Level 2 Regulation

Regulation 2017/587- RTS on transparency requirements in respect of equity
financial instruments (RTS 1)

Topic

Equity transparency

Additional Legal Reference

Regulation 2017/583- RTS on transparency requirements in respect of non-equity
financial instruments (RTS 2)

Subject Matter

Transparency - voice trading systems

Question

How should voice trading systems apply the pre-trade transparency requirements of Article 8 of MiFIR?

ESMA Answer

16-10-2024

Original language

This question was deleted on 16/10/2024

ESMA_QA_1573

Submission Date

07/02/2018

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Pre-trade transparency waivers

Additional Legal Reference

Regulation 2017/583- RTS on transparency requirements in respect of non-equity
financial instruments (RTS 2)

Subject Matter

Minimum size of orders held in an order management facility for non-equity financial instruments

Question

How should the minimum size of orders held in an order management facility of a trading venue pending disclosure be calculated for non-equity instruments?

ESMA Answer

07-02-2018

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 5.12]

For the purpose of Article 4(2)(a) of RTS 2 the minimum size of orders held in an order management facility of a trading venue pending disclosure should be calculated according to Table 4 of Annex II of RTS 2 except for emission allowances and emission allowance derivatives for which the notional amount of traded contracts should be used. Please also refer to Q&A 1571 in the Non-equity transparency section of this document.

ESMA_QA_1570

Submission Date

18/12/2017

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Pre-trade transparency waivers

Subject Matter

Reference price waiver and multi-listed shares

Question

How will the reference price waiver be applied for shares listed on multiple venues and traded in different currencies? Should those shares be regarded as separate

financial instruments, which may only be traded in the currency in which they are listed?

ESMA Answer

18-12-2017

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 5.10]

The concept of financial instrument in MiFID II / MiFIR is independent of the currency that it is traded in. Therefore, instruments should not be considered as different financial instruments, just because they are traded on multiple venues and/or in multiple currencies.

According to Article 4(2) of MiFIR, the reference price is to be “derived” from the trading venue where that financial instrument was first admitted to trading or the most relevant market in terms of liquidity and not replicated. This leaves open the possibility to transact in currencies other than the currency that is used on the trading venue from which the price is derived. The methodology used for converting the reference price should be set out in the trading venue’s rule book. The exchange rate used should be derived from a reliable source (e.g. European Central Bank) and be updated regularly and at least on a daily basis.

ESMA_QA_1569

Submission Date

18/12/2017

Status: Published Answer Updated

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Pre-trade transparency waivers

Subject Matter

Process for a waiver under Article 18(2) of MiFIR

Question

What is the process to be followed by systematic internalisers in order to waive the obligation in Article 18(2) of MiFIR?

ESMA Answer

16-10-2024

Original language

This question was deleted on 16/10/2024.

ESMA_QA_1678

Submission Date

14/12/2017

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Date and time of the request of admission and admission

Question

What date should be populated in RTS 23Annex Table 3 Field 11 (Date of admission to trading or date of first trade) where the actual date is still unknown and

the issuer makes the request for admission to trading (Field 8)?

ESMA Answer

14-12-2017

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 3.6]

If Field 11 (Date of admission to trading or date of first trade) is not known at the time of submission of reference data for FIRDS it should be reported with the default value of 9999-12-31T00:00:00, unless the financial instrument has a maturity/termination date, in which case that date should be used. As soon as date of admission to trading or date of first trade is known the FIRDS reference data should be amended with the actual date.

ESMA_QA_1712

Submission Date

14/12/2017

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

* Transaction reporting

Historic Question Reference

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Transaction reporting

Question

Are transactions executed through non-EU branches of EU investment firms subject to transaction reporting under Article 26 of MiFIR?

ESMA Answer

14-12-2017

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 24.12]

Yes, transactions executed through non-EU branches of EU investment firms are subject to transaction reporting under Article 26 of MiFIR since a branch has no legal personality and is part of the investment firm according to Article 4(1)(30) of MIFID II. This requirement applies to transactions executed in financial instruments specified in Article 26(2) of MiFIR. The transaction reports should be sent to the competent authority of the home Member State of the investment firm following Article 14 of the RTS 22 and the branch should be identified with the LEI of its head office even if it may be considered eligible for an LEI in some cases (see first paragraph, point 5.5 of the ESMA Guidelines on Transaction Reporting).

ESMA_QA_1711

Submission Date

14/12/2017

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

* Transaction reporting

Historic Question Reference

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Transaction reporting

Question

- (a) Where there is more than one level of underlying instrument which should be considered when determining whether an instrument is in scope for reporting under article 26(2)(b) and (c) of MIFIR?
- (b) Does the concept of an underlying for the purposes of Article 26(2)(b) or (c) of MiFIR extend to investments in a collective investment undertaking or an exchange traded fund?
- (c) What is the implication of Answer (b)?
- (d) Does the concept of underlying extend to the instruments on which ADRs, GDRs are based for the purposes of Article 26(2)(b) of MIFIR ?
- (e) What is the implication of Answer (d)?
- (f) Does the concept of an underlying for the purposes of Article 26(2)(b) of MiFIR extend to convertible bonds, reverse convertible bonds and reverse convertible notes?
- (g) What is the implication of Answer (f)?
- (h) Does the concept of an underlying for the purposes of Article 26(2)(b) or (c) of MiFIR extend to warrants?
- (i) What are the implications of Answer (h)?

ESMA Answer

14-12-2017

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 24.11]

(a) The underlying is the direct or immediate underlying for the instrument rather than any ultimate underlying. For example, consider a CFD on an option on an equity. The immediate underlying is the option. Therefore, if the option is traded on a trading venue then the CFD is a reportable instrument under article 26(2)(b) and if

the option is not traded on a trading venue then the CFD is not a reportable instrument under article 26(2)(b). This is regardless of whether the equity that is the ultimate underlying is traded on a trading venue.

(b) No, the concept of underlying does not extend to such situations.

(c) Transactions in a unit of a collective investment undertaking or an exchange traded fund are only reportable if the unit of a collective investment undertaking or the exchange traded fund is itself admitted to trading or traded on a trading venue or a request for admission has been made.

(d) Yes.

(e) Where a transaction takes place in an ADR, GDR (the main instrument) where the underlying instrument on which the main instrument is based is traded on a trading venue the transaction is reportable under article 26(2)(b). Where a transaction report is made on the basis of the instrument being in scope of 26(2)(b) the underlying instrument on which the main instrument is based should be reported in field 47 (Underlying instrument code). Where the main instrument is also in scope under 26(2)(a) then the underlying does not need to be populated in the transaction report as only the ISIN of the main instrument needs to be reported (in field 41).

(e) Yes.

(f) Where a transaction takes place in a convertible bond, reverse convertible bond or reverse convertible note (the main instrument) and the instrument into which the bond can be converted is traded on a trading venue the transaction is reportable under article 26(2)(b). Where a transaction report is made on the basis of the instrument being in scope of 26(2)(b) the underlying instrument into which the main instrument can be converted should be reported in field 47. Where the convertible bond, reverse convertible bond or reverse convertible note is also in scope under 26(2)(a) then the underlying does not need to be populated in the transaction report as only the ISIN of the convertible bond needs to be reported (in field 41).

(g) Yes.

(h) Where a transaction takes place in a warrant and the instrument on which the warrant is based is traded on a trading venue the transaction is reportable under article 26(2)(b). Where the warrant is based on an index or a basket composed of financial instruments traded on a trading venue the transaction is reportable under 26(2)(c). Where the warrant is also in scope of Article 26(2)(a) then the underlying does not need to be populated in the transaction report as only the ISIN of the warrant needs to be reported (in field 41).

ESMA_QA_1707

Submission Date

17/11/2017

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

* Transaction reporting

Historic Question Reference

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Transaction reporting

Question

How should transactions be transaction reported where portfolio management has been outsourced?

ESMA Answer

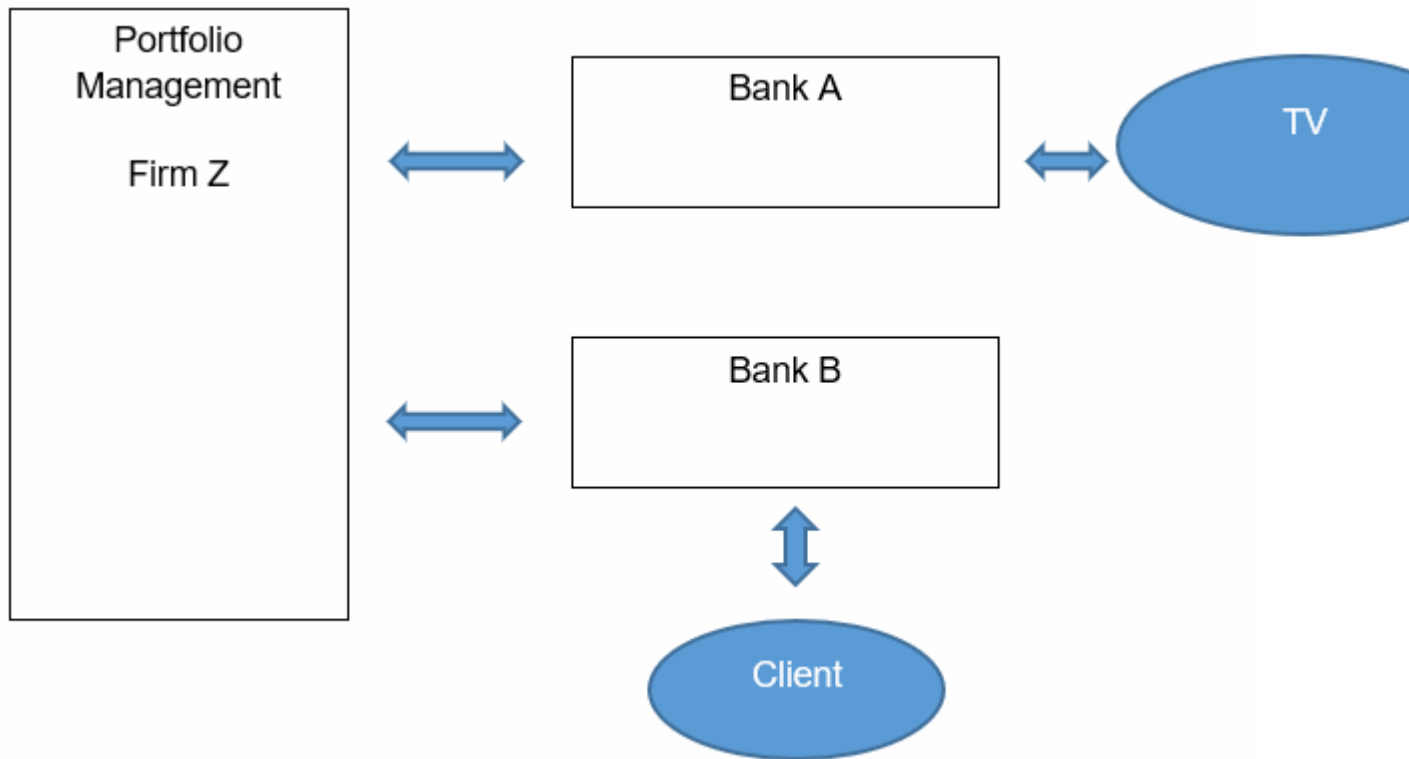
17-11-2017

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 24.7]

Consider the following example, where Banks A, B and Firm Z are investment firms:

- Client has a portfolio at Bank B.
- The client is a German national, Max Mustermann. His date of birth is 01/04/1974.
- Bank B has outsourced the portfolio management (discretionary mandate) to Firm Z, which is an investment firm undertaking portfolio management.
- Firm Z sends a purchase order to Bank A for execution without meeting the conditions for transmission under article 4 of Commission Delegated Regulation (EU) 2017/590. Firm Z is acting in an 'any other' trading capacity.
- Firm Z does not have a contract with the Client.
- Bank A executes the order on a Trading Venue.
- Bank A transfers the financial instruments from its own account to the account of Bank B just for settlement purposes.
- Bank B books the financial instruments from its account into the account of the Client.



1. Bank A and Bank B are acting in an own account trading capacity

The reports by Bank A and Bank B will be as follows:

		Bank A's reports		Bank B's reports	
N	Field	Report 1 Values	Report 2 Values	Report 1 Values	Report 2 Values
3	TVTIC	'1234'			
4	Executing entity identification code	{LEI} of Bank A	{LEI} of Bank A	{LEI} of Bank B	{LEI} of Bank B
7	Buyer	{LEI} of Bank A	{LEI} of Firm Z	{LEI} of Bank B	'DE19740401MAX###MUSTE'
12	Buyer decision maker code				{LEI} of Firm Z
16	Seller	{LEI} of CCP	{LEI} of Bank A	{LEI} of Firm Z	{LEI} of Bank B
21	Seller decision maker code				
29	Trading capacity	'DEAL'	'DEAL'	'DEAL'	'DEAL'
36	Venue	{MIC} of TV	'XOFF'	'XOFF'	'XOFF'
57	Investment decision within firm	Algo or national ID	Algo or national ID	Algo or national ID	Algo or national ID
59	Execution within firm	Algo or national ID	Algo or national ID	'NORE'	'NORE'

Bank A is receiving instructions from Firm Z without the transmission requirements being met so it will report Firm Z as the buyer in its client side report.

Bank B's counterparty for execution purposes is Firm Z and since Bank B has not met the transmission conditions it will report its client as the buyer and itself, Bank B, as the seller.

Bank B has outsourced the discretionary management for its client to Firm Z so there is a power of representation. However, field 12 is only populated where the decision is made under a power of representation and the buyer is a client of the executing entity. Therefore field 12 is only populated in Report 2 of Bank B, since in Report 1 Bank B is itself the buyer.

Even though Firm Z is making the investment decision on behalf of Firm B, field 57 is a mandatory field where a firm is acting in an own account trading capacity since the firm is accepting the risk. Therefore this should be populated with the algo or person in Bank B that is primarily responsible for the decision to delegate.

Field 59 is a mandatory field but where the execution decision is made outside the firm it is populated with 'NORE'. In this scenario the execution decision is being made by Firm Z as it is deciding when and how to execute (by sending orders to Firm A) and therefore this field is populated with 'NORE' in Bank B's reports .

Reporting by Firm Z

		Portfolio Management Firm Z
N	Field	Report X Values
3	TVTIC	
4	Executing entity identification code	{LEI} of Firm Z
7	Buyer	{LEI} of Bank B
12	Buyer decision maker code	{LEI} of Firm Z
16	Seller	{LEI} of Bank A
21	Seller decision maker code	
29	Trading capacity	'AOTC'
36	Venue	'XOFF'
57	Investment decision within firm	Algo or national ID
59	Execution within firm	Algo or national ID

Firm Z is acting on behalf of Bank B and since Bank B has not met the transmission conditions it will report Bank B as the buyer and Bank A as the seller.

Firm Z is making an investment decision on behalf of Bank B so it will populate field 12 with its LEI and will populate field 57 with the algo or national ID of the person responsible for the investment decision within the firm.

2. Bank A and Bank B are acting in any other trading capacity and Bank B is not meeting the conditions for transmission under article 4 of the Commission Delegated Regulation (EU) 2017/590.

N	Field	Bank <u>A</u> 's report	Bank B's report
3	TVTIC	'1234'	
4	Executing entity identification code	{LEI} of Bank A	{LEI} of Bank B
7	Buyer	{LEI} Firm Z	'DE19740401MAX##MUSTE'
12	Buyer decision maker code		{LEI} of Firm Z
16	Seller	{LEI}CCP	{LEI} of Firm Z
21	Seller decision maker code		
29	Capacity	'AOTC'	'AOTC'
36	Venue	{MIC} of TV	'XOFF'
57	Investment decision within firm		
59	Execution within firm	Algo or national ID	'NORE'

Since the buyer in Bank B's report is its client and there is a power of representation field 12 is populated with the LEI of Firm Z in Bank B's report.

Since the execution decision is made outside the firm (being made by Firm Z) field 59 is populated with 'NORE' in Bank B's report.

ESMA_QA_1585

Submission Date

15/11/2017

Status: Published Answer Updated

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Systematic internaliser regime

Subject Matter

Price to be published by SIs in bonds and derivatives

Question

Which types of prices will be considered compliant as firm quotes for derivatives and bonds?

ESMA Answer

16-10-2024

Original language

This question was deleted on 16/10/2024.

ESMA_QA_1568

Submission Date

15/11/2017

Status: Published Answer Updated

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Pre-trade transparency waivers

Subject Matter

SSTI – calculation of indicative pre-trade prices

Question

What arrangements should trading venues put in place to ensure the proper calculation of indicative pre-trade prices in relation to Article 8(4) of MiFIR?

ESMA Answer

16-10-2024

Original language

This question was deleted on 16/10/2024.

ESMA_QA_1567

Submission Date

15/11/2017

Status: Published Answer Updated

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Pre-trade transparency waivers

Subject Matter

Partial execution of LIS orders (Article 9(1)(a) of MiFIR) and orders above SSTI

Question

Do the waivers under Article 9(1)(a) of MiFIR in respect of Large in Scale (LIS) orders persist during the life of that particular order regardless of any partial

execution?

ESMA Answer

16-10-2024

Original language

Article 7(5) of RTS 1 allows the Large in Scale (LIS) waiver pursuant to Article 4(1)(c) of MiFIR to continue to apply in respect of an order that is LIS when entered into an order book but that, following partial execution in the order book facility benefiting from the LIS waiver, falls below the threshold applicable for that financial instrument. The LIS waiver no longer applies when the price or other relevant conditions for the execution of an order are amended or where the partial execution is taking place on another trading facility operated by the trading venue. There should be no difference in approach for equity and equity-like instruments and non-equity instruments and the same treatment should apply to the remaining portion of a partially executed LIS order in an order book in a non-equity instrument.

15-11-2017

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 5.6]

Article 7(5) of RTS 1 allows the Large in Scale (LIS) waiver pursuant to Article 4(1)(c) of MiFIR to continue to apply in respect of an order that is LIS when entered

into an order book but that, following partial execution **in the order book facility benefiting from the LIS waiver**, falls below the threshold applicable for that financial instrument. **The LIS waiver no longer applies when** ~~unless~~ the price or other relevant conditions for the execution of an order are amended **or where the partial execution is taking place on another trading facility operated by the trading venue**. There should be no difference in approach for equity and equity-like instruments and non-equity instruments and the same treatment should apply to the remaining portion of a partially executed LIS order in an order book in a non-equity instrument.

~~In relation to A-IOI that may benefit from the waiver pursuant to Article 9(1)(b) of MiFIR, each A-IOI must be above the relevant SSTI threshold for that financial instrument specified in Annex III of RTS 2. The waiver is not available for trading protocols other than request-for-quote and voice trading systems, which exclude order books. If an A-IOI above the SSTI is partially executed, the remaining amount of the A-IOI should be considered a new A-IOI and so the relevant waiver checks should be carried out again for the SSTI waiver to apply.~~

ESMA_QA_1567

Submission Date

15/11/2017

Status: Published Answer Updated

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Pre-trade transparency waivers

Subject Matter

Partial execution of LIS orders (Article 9(1)(a) of MiFIR) and orders above SSTI

Question

Do the waivers under Article 9(1)(a) of MiFIR in respect of Large in Scale (LIS) orders persist during the life of that particular order regardless of any partial

execution?

ESMA Answer

16-10-2024

Original language

Article 7(5) of RTS 1 allows the Large in Scale (LIS) waiver pursuant to Article 4(1)(c) of MiFIR to continue to apply in respect of an order that is LIS when entered into an order book but that, following partial execution in the order book facility benefiting from the LIS waiver, falls below the threshold applicable for that financial instrument. The LIS waiver no longer applies when the price or other relevant conditions for the execution of an order are amended or where the partial execution is taking place on another trading facility operated by the trading venue. There should be no difference in approach for equity and equity-like instruments and non-equity instruments and the same treatment should apply to the remaining portion of a partially executed LIS order in an order book in a non-equity instrument.

15-11-2017

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 5.6]

Article 7(5) of RTS 1 allows the Large in Scale (LIS) waiver pursuant to Article 4(1)(c) of MiFIR to continue to apply in respect of an order that is LIS when entered

into an order book but that, following partial execution **in the order book facility benefiting from the LIS waiver**, falls below the threshold applicable for that financial instrument. **The LIS waiver no longer applies when** ~~unless~~ the price or other relevant conditions for the execution of an order are amended **or where the partial execution is taking place on another trading facility operated by the trading venue**. There should be no difference in approach for equity and equity-like instruments and non-equity instruments and the same treatment should apply to the remaining portion of a partially executed LIS order in an order book in a non-equity instrument.

~~In relation to A-IOI that may benefit from the waiver pursuant to Article 9(1)(b) of MiFIR, each A-IOI must be above the relevant SSTI threshold for that financial instrument specified in Annex III of RTS 2. The waiver is not available for trading protocols other than request-for-quote and voice trading systems, which exclude order books. If an A-IOI above the SSTI is partially executed, the remaining amount of the A-IOI should be considered a new A-IOI and so the relevant waiver checks should be carried out again for the SSTI waiver to apply.~~

ESMA_QA_1566

Submission Date

15/11/2017

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Pre-trade transparency waivers

Subject Matter

Maximum authorised deviation around the reference price for negotiated
transactions in illiquid equity instruments

Question

What is the maximum authorised deviation around the reference price to be used for negotiated transactions in illiquid instruments?

ESMA Answer

15-11-2017

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 5.5]

Article 4(1)(b)(ii) of MiFIR allows NCAs to grant pre-trade transparency waivers to trading venues for negotiated transactions in illiquid instruments where those negotiated transactions are dealt within a percentage of a suitable reference price.

ESMA is of the view that the parameters to be set by trading venues in accordance with Article 48(5) of MiFID II for halting trading can also be used as maximum limits for the purposes of Article 4(1)(b)(ii) of MiFIR. The parameters to be established for trading halts should be calibrated by taking into consideration the liquidity of financial instruments, the related market model and the type of users trading those instruments. A price movement beyond these limits would be considered significant enough to halt trading, therefore, ESMA considers these same parameters should be used as a proxy to assess the suitability of the reference price and the percentage deviation from it that can be used for negotiated transactions under Article 4(1)(b)(ii) of MiFIR. NCAs should not authorise trading venues to report negotiated transactions in illiquid financial instruments executed outside those limits.

ESMA_QA_1558

Submission Date

15/11/2017

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Non-equity transparency

Subject Matter

Temporary suspension of transparency for bonds

Question

How is the concept of “class of bonds” to be understood in respect of the temporary suspension of transparency?

ESMA Answer

15-11-2017

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 4.8]

Since the suspension of transparency under Article 9(4) and 11(2) of MiFIR applies at a class level, with respect to bonds, the classes of bonds defined in Table 2.2 Annex III of RTS 2 should be used.

ESMA_QA_1557

Submission Date

15/11/2017

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Equity transparency

Subject Matter

Scope of the trading obligation for shares

Question

What is the scope of the trading obligation where there is a chain of transmission of orders?

ESMA Answer

15-11-2017

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 3.2]

Article 23(1) of MiFIR determines the scope of the trading obligation for shares admitted to trading on a regulated market or traded on a trading venue by requiring investment firms to ensure that trades they undertake in shares take place on a regulated market, MTF, systematic internaliser or equivalent third country venue. Where there is a chain of transmission of orders concerning those shares all EU investment firms that are part of the chain (either initiating the orders or acting as brokers) should ensure that the ultimate execution of the orders complies with the requirements under Article 23(1) of MiFIR.

As an example, where an EU investment firm transmits an order for a share admitted to trading on a regulated market or traded on a trading venue to an EU investment firm that subsequently passes it on to a non-EEA firm, the EU investment firms should ensure the trade is undertaken in accordance with the requirements set out in Article 23 of MiFIR, i.e. on a regulated market, MTF, systematic internaliser or equivalent third country venue.

ESMA_QA_1553

Submission Date

15/11/2017

Status: Published Answer Updated

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Non-equity transparency

Subject Matter

Transparency - fees

Question

a) Are trading venues and APAs required to make data available free of charge for any length of time 15 minutes after publication?

b) Does MiFID II/MiFIR prevent trading venues and APAs to apply usage restrictions, licensing and redistribution fees, including fees for deriving and/or manipulating data in automated applications for internal or external distribution, and non-monetary costs to market data – such as requirements on registrations, subscriptions and usage reporting – on data which they make available free of charge 15 minutes after publication?

ESMA Answer

16-10-2024

Original language

(a) The information made available free of charge 15 minutes after its publication should replicate the information published on a reasonable commercial basis but with a 15 minutes delay. The information should be made available directly to end users. Where the trading venues makes the data available via third parties, this should not impose restrictions on access to that data to end users. Trading venues are not required to make any further replication of already published information available free of charge.

(b) Trading venues and APAs may not impose redistribution fees or other similar restrictions on redistributors/third parties making available data free of charge 15 minutes after the initial publication. Where a redistributor/third party charges fees for the distribution of data – including a general fee for accessing its services – trading venues, APAs may impose redistribution fees or other similar restrictions on this redistributor/third party.

Furthermore, trading venues and APAs may not charge fees or impose other similar restrictions on added-value services created by redistributors/third parties from data provided free of charge. Where a redistributor/third party charges for added-value services created from such data, trading venues and APAs may impose fees or other similar restrictions to this redistributor/third party.

However, MiFIR/MiFID II only requires data to be published after 15 minutes free of charge and therefore, trading venues and APAs may charge fees for the use and redistribution of historic data that is considered as an added-value service.

15-11-2017

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 2.9]

(a) The information made available free of charge 15 minutes after its publication should replicate the information published on a reasonable commercial basis but with a 15 minutes delay. The information should be made available directly to end users. Where the trading venues makes the data available via third parties, this should not impose restrictions on access to that data to end users. Trading venues are not required to make any further replication of already published information available free of charge.

(b) Trading venues, APAs and ~~CTPs~~ may not impose redistribution fees or other similar restrictions on redistributors/third parties making available data free of charge 15 minutes after the initial publication. Where a redistributor/third party charges fees for the distribution of data – including a general fee for accessing its services – trading venues, APAs and ~~CTPs~~ may impose redistribution fees or other similar restrictions on this redistributor/third party.

Furthermore, trading venues, APAs and CTPs may not charge fees or impose other similar restrictions on added-value services created by redistributors/third parties from data provided free of charge. Where a redistributor/third party charges for added-value services created from such data, trading venues, APAs and CTPs may impose fees or other similar restrictions to this redistributor/third party.

However, MiFIR/MiFID II only requires data to be published after 15 minutes free of charge and therefore, trading venues, APAs and CTPs may charge fees for the use and redistribution of historic data that is considered as an added-value service.

ESMA_QA_1553

Submission Date

15/11/2017

Status: Published Answer Updated

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Topic

Non-equity transparency

Subject Matter

Transparency - fees

Question

a) Are trading venues and APAs required to make data available free of charge for any length of time 15 minutes after publication?

b) Does MiFID II/MiFIR prevent trading venues and APAs to apply usage restrictions, licensing and redistribution fees, including fees for deriving and/or manipulating data in automated applications for internal or external distribution, and non-monetary costs to market data – such as requirements on registrations, subscriptions and usage reporting – on data which they make available free of charge 15 minutes after publication?

ESMA Answer

16-10-2024

Original language

(a) The information made available free of charge 15 minutes after its publication should replicate the information published on a reasonable commercial basis but with a 15 minutes delay. The information should be made available directly to end users. Where the trading venues makes the data available via third parties, this should not impose restrictions on access to that data to end users. Trading venues are not required to make any further replication of already published information available free of charge.

(b) Trading venues and APAs may not impose redistribution fees or other similar restrictions on redistributors/third parties making available data free of charge 15 minutes after the initial publication. Where a redistributor/third party charges fees for the distribution of data – including a general fee for accessing its services – trading venues, APAs may impose redistribution fees or other similar restrictions on this redistributor/third party.

Furthermore, trading venues and APAs may not charge fees or impose other similar restrictions on added-value services created by redistributors/third parties from data provided free of charge. Where a redistributor/third party charges for added-value services created from such data, trading venues and APAs may impose fees or other similar restrictions to this redistributor/third party.

However, MiFIR/MiFID II only requires data to be published after 15 minutes free of charge and therefore, trading venues and APAs may charge fees for the use and redistribution of historic data that is considered as an added-value service.

15-11-2017

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 2.9]

(a) The information made available free of charge 15 minutes after its publication should replicate the information published on a reasonable commercial basis but with a 15 minutes delay. The information should be made available directly to end users. Where the trading venues makes the data available via third parties, this should not impose restrictions on access to that data to end users. Trading venues are not required to make any further replication of already published information available free of charge.

(b) Trading venues, APAs and ~~CTPs~~ may not impose redistribution fees or other similar restrictions on redistributors/third parties making available data free of charge 15 minutes after the initial publication. Where a redistributor/third party charges fees for the distribution of data – including a general fee for accessing its services – trading venues, APAs and ~~CTPs~~ may impose redistribution fees or other similar restrictions on this redistributor/third party.

Furthermore, trading venues, APAs and CTPs may not charge fees or impose other similar restrictions on added-value services created by redistributors/third parties from data provided free of charge. Where a redistributor/third party charges for added-value services created from such data, trading venues, APAs and CTPs may impose fees or other similar restrictions to this redistributor/third party.

However, MiFIR/MiFID II only requires data to be published after 15 minutes free of charge and therefore, trading venues, APAs and CTPs may charge fees for the use and redistribution of historic data that is considered as an added-value service.

ESMA_QA_1549

Submission Date

15/11/2017

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-
Secondary Markets

Level 2 Regulation

Regulation 2017/587- RTS on transparency requirements in respect of equity
financial instruments (RTS 1)

Topic

Equity transparency

Additional Legal Reference

Regulation 2017/583- RTS on transparency requirements in respect of non-equity
financial instruments (RTS 2)

Subject Matter

Transparency - Trading venues

Question

Tables 3 and 4 of Annex I of RTS 1 and tables 2 and 3 of Annex II of RTS 2 require the publication of some information using text fields and 4-character codes that are not suitable for binary digital feeds. How should trading venues and investment firms/ Approved Publication Arrangements (APAs) ensure that transactions are published as close to real-time as technically possible? Is it possible to transport and publish the real-time data via digital feeds or does the data have to be transported and published in the reporting format defined in Annex I of RTS 1 and Annex II of RTS 2?

ESMA Answer

15-11-2017

Original language

[ESMA 70-872942901-35 MiFIR transparency Q&A, Q&A 2.2]

MiFIR and RTS 1 and RTS 2 intend to enable data-users to consume highly reliable and comparable sets of data in a fragmented market. This includes the trade flags and div defined by ESMA in Annex I of RTS 1 and Annex II of RTS 2. It is therefore important to ensure that trading venues, market operators and APAs efficiently disseminate unambiguous content.

RTS 1 and 2 do not require the use of a specific technical format (such as XML) for transporting and making data public. Encoding data feeds, including using binary digital feeds, for transportation purposes is therefore possible as long as it contributes to keeping the speed of transmission as close to real time as possible. What matters for meeting the post-trade transparency requirements in MiFIR and RTS 1 and 2 is that post-trade data is published as soon as possible and that the div and flags specified in Annex II of RTS 1 and 2 are used.

Trading venues and APAs have to make sure that at the point of converting digital real-time feed into human readable data points the div and flags as specified in Annex I of RTS 1 and Annex II of RTS 2 are used.

ESMA_QA_1710

Submission Date

14/11/2017

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

* Transaction reporting

Historic Question Reference

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Transaction reporting

Question

Are both legs of a swap reportable, when one leg contains an index such as LIBOR or EURIBOR?

ESMA Answer

14-11-2017

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 24.10]

In the case of a swap, where one leg contains e.g. LIBOR or EURIBOR, it is key for competent authorities to have visibility of both legs of the reported swap. Therefore in transaction reports for an OTC swap, where one leg of a swap contains at least one reportable financial instrument, also the complementing leg of the given swap containing indices, such as LIBOR or EURIBOR, should be identified in a transaction report, as shown in Example 106 in section 5.35.7.1 of the ESMA Guidelines.

ESMA_QA_1709

Submission Date

14/11/2017

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

* Transaction reporting

Historic Question Reference

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Transaction reporting

Question

- (a) When are corporate events reportable?
- (b) Are corporate events resulting from a default option reportable?
- (c) Is an event still reportable where the investor has given a standing instruction?
- (d) What is meant by the investor not making an investment decision at the point in time of the creation, expiration or redemption of the financial instrument in article 2(5)(i) of Commission Delegated Regulation (EU) 2017/590?
- (e) Are lapsed rights reportable?
- (f) How should corporate events be reported?
- (g) How should field 59 (Execution within the firm) be populated for corporate events?

ESMA Answer

14-11-2017

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 24.9]

(a) Corporate events are reportable where the investor has an opportunity to make an investment decision if the event does not come within one of the exclusions under article 2(5) of Commission Delegated Regulation (EU) 2017/590. In practice, because many corporate actions are effected through the mandatory issue of an intermediary instrument this brings them within the exclusions because the issue is mandatory and therefore not reportable under 2(5)(i) and the exercise of the intermediary instrument is excluded under 2(5)(h).

(b) Yes. This is regardless of whether the default option is actively selected or results from no action. This is because the investor may have taken no action in the

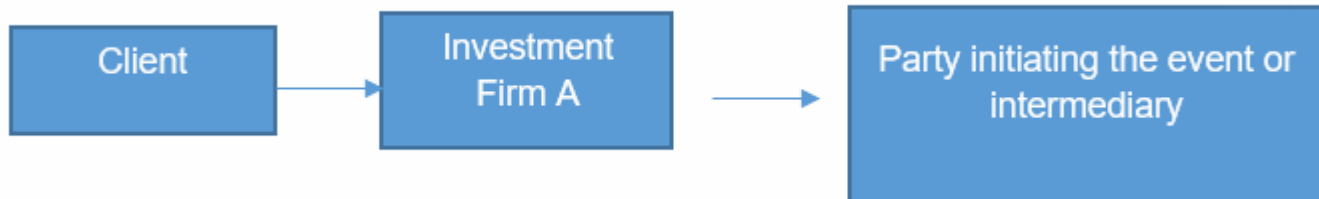
knowledge that they would receive the default option. Therefore they are regarded as effectively taking an investment decision.

(c) Yes, where the investor has an opportunity to make an investment decision. This is because the investor had the opportunity to change their mind and revoke the instruction and may have chosen not to do so. Therefore they are regarded as effectively taking an investment decision.

(d) This should be interpreted as the investor (or someone acting for them under a power of representation) not making an investment decision at the point in time when they could have made an investment decision for a particular corporate event. Thus it refers to the point of time of the initiation of the creation, expiration or redemption rather than the time of its completion. Consequently, if the investor did take a decision to initiate the creation, expiration or redemption or could have taken such a decision but received a default option or could have taken a decision despite a standing instruction being in place it does not come within the exclusion under article 2(5)(i) and the action is reportable unless it comes under one of the other exclusions in article 2(5).

(e) No. This is considered to be within the exclusion in Article 2(5)(h) of Commission Delegated Regulation (EU) 2017/590.

(f) The transactions resulting from the event should be reported.



Where an investment firm, Firm A, is giving instructions to take up an event on behalf of itself or a client it should report the party initiating the event if it is executing with that entity directly or the intermediary it is executing with an intermediary. For example, consider a corporate event where an investor makes a

choice of receiving cash or additional financial instruments without there being an intermediate financial instrument and receives the financial instruments. Assuming that Firm A is acting in an 'any other' trading capacity and is executing directly with the issuer, Firm A will report the buyer as the client and populate the seller field with the LEI of the issuer. If the client is also an investment firm, the client will report Investment Firm A as the seller and if the issuer is also an investment firm the issuer will report Investment Firm A as the buyer. If Firm A is executing with an intermediary Firm A will report the intermediary.

Where payment is made the price should reflect this. If there is no payment then the price field should be populated with 'NOAP'. If there is a pending price it should be reported as 'PNDG' and updated when the price is known.

The trading date and time would be the date and time that the corporate action was completed by the entity initiating the event, so in the example above the date time in the confirmation of the transaction by the issuer.

(g) Where a client is making a decision for a corporate event, then the activity by an investment firm to action that decision is just an administrative function as the investment firm has no discretion on how to exercise and therefore field 59 should be populated with 'NORE'. Where the investment firm is making the decision under a discretionary mandate it should be populated with a person or algorithm within the investment firm.

ESMA_QA_1708

Submission Date

14/11/2017

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

* Transaction reporting

Historic Question Reference

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Transaction reporting

Question

- (a) What are the reporting obligations for a typical primary issuance (IPO)?
- (b) How should field 28 (Trading date time) be populated in this scenario?
- (c) How should field 59 (Execution within the firm) be populated in this scenario?
- (d) What would transaction reporting look like for a typical equity IPO example?

ESMA Answer

14-11-2017

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 24.8]

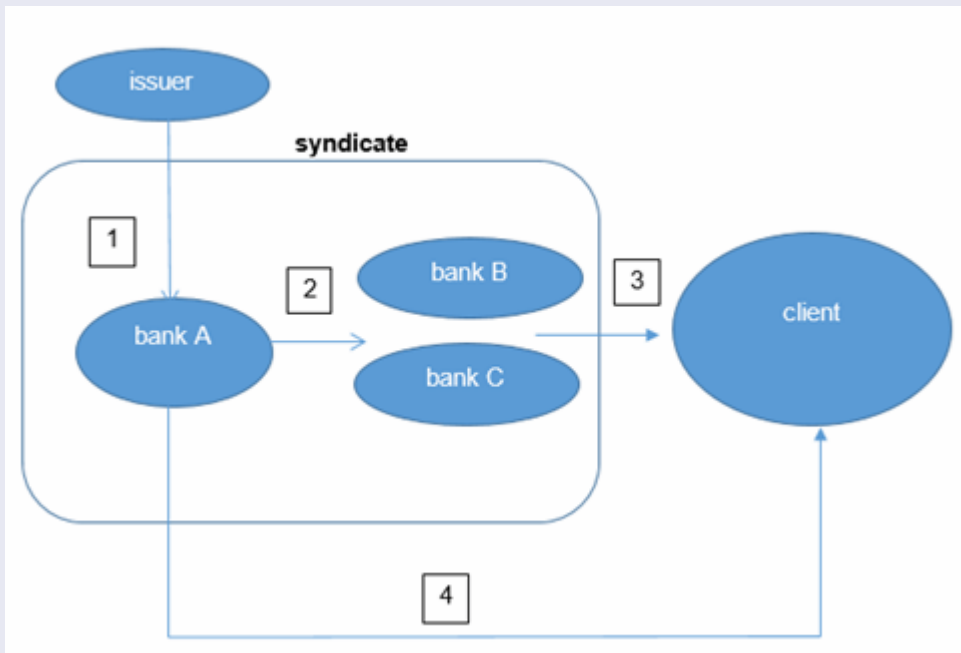
(a) Primary issuance occurs through a group of banks that form a syndicate. This is shown in the example below where Banks A, B and C form a syndicate. One client may receive calls from a number of syndicate banks to introduce the new issue and the client will in turn indicate their interest to buy the financial instrument being marketed through each of those banks. A single order book is maintained across the syndicate which results in a single allocation of the financial instrument to the client.

A 'coordinating bank' will buy from the issuer/seller and sell to another bank or banks in the syndicate that act as the 'billing and delivering bank(s)' (B&D-bank). A B&D-bank will then sell to the client. A 'coordinating bank' may also perform the role of a B&D-bank.

The example below shows two situations, one where Bank A is acting as a 'coordinating bank' and Banks B and C are acting as the B&D-bank and one where

Bank A is acting as both the 'coordinating bank' and B&D bank. In this example Banks A, B and C are all investment firms acting in an own account trading capacity but it is also possible for these banks to act in any other capacity.

The executions that take place are indicated by legs no. 1, 2, 3 and 4. The direction of the arrows indicates the direction of flow of the financial instruments.



All of the execution legs that are applicable to the situation are reportable. So if Bank A is the 'coordinating bank' and Banks B and C are the B&D-banks then legs 1, 2 and 3 are reportable. If Bank A is both the 'coordinating bank' and the B&D-bank then legs 1 and 4 are reportable. If the issuer or the client are investment firms they will have to transaction report as well as Banks A, B and C.

Settlement activity should not be reported.

If there are additional investment firms involved in the chain that are executing then they will also need to transaction report.

(b) This should be the date time at which the pricing and the allocations are finalised between the issuer and the syndicate. This is normally before the first listing date.

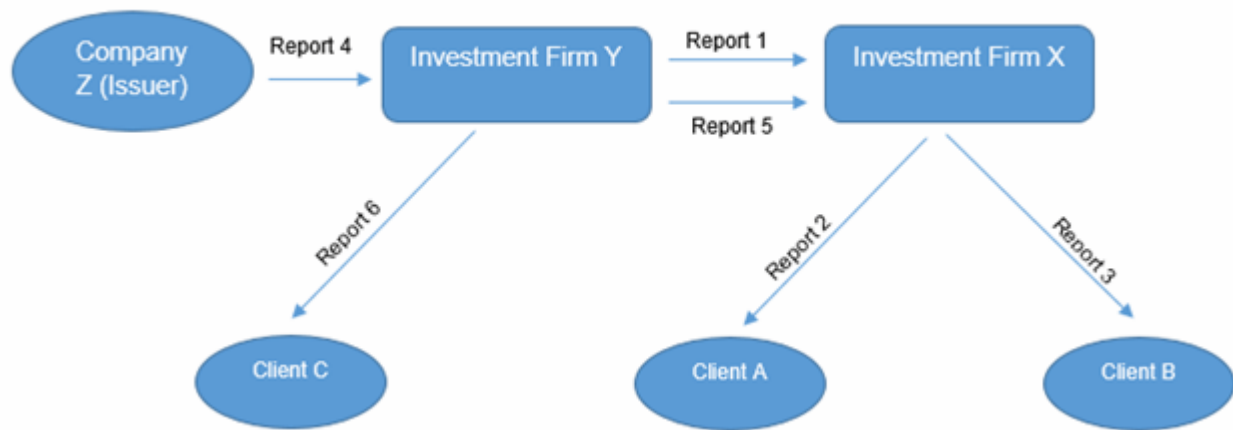
(c) Where a client is making a decision for a primary issuance, then the activity by an investment firm to action that decision is just an administrative function as the investment firm has no discretion on how to exercise and therefore field 59 should be populated with 'NORE'. Where the investment firm is making the decision under a discretionary mandate it should be populated with a person or algorithm within the investment firm.

(d) Issuing Company Z plans a primary issuance of 400 units of equity and engages a syndicate involving Investment Firm X and Investment Firm Y to run a book build on its behalf. Investment Firms X and Y are acting as B&D-banks responsible for recording the transactions in their books and records, confirming the purchase to the client and selling the units to the clients. Investment Firm Y is also acting as a 'coordinating bank'.

Client A and B have placed subscription orders for 200 units and 100 units respectively with Investment Firm X. Client C has placed subscription orders for 100 units with Investment Firm Y. Investment Firm Y will buy from the issuer/seller and sell to Client C and to Investment Firm X. The request for admission takes place on 26-06-2018 and the listing date is 27-06-2018. The transaction price of 99 for a unit is agreed between the syndicate and the issuer and the pricing and allocations are finalised between Issuing Company Z and the syndicate on 26-06-2018 at 19:00:00.

Assuming for the purposes of this example that Investment Firms X and Y are dealing on own account, the reports that need to be made by X and Y are indicated by Reports no. 1 – 6 in the figure below. The direction of the arrows indicates the direction of flow of the financial instruments.

Settlement activity should not be reported.



How would Investment Firm X report?

N	Field	Report 1 Values	Report 2 Values	Report 3
4	Executing entity identification code	{LEI} of Investment Firm X	{LEI} of Investment Firm X	{LEI} of Inves X
7	Buyer identification code	{LEI} of Investment Firm X	{LEI} of Client A	{LEI} of C
16	Seller identification code	{LEI} of Investment Firm Y	{LEI} of Investment Firm X	{LEI} of Inves X
28	Trading date time	'2018-06-26T19:00:00Z'	'2018-06-26T19:00:00Z'	'2018-06-26T
29	Trading capacity	'DEAL'	'DEAL'	'DEA
30	Quantity	'300'	'200'	'100
33	Price	'99'	'99'	'99
36	Venue	'XOFF'	'XOFF'	'XOF
59	Execution within the firm	'NORE'	'NORE'	'NOR

How would Investment Firm Y report?

N	Field	Report 4 Values	Report 5 Values	Report 6 Values
4	Executing entity identification code	{LEI} of Investment Firm Y	{LEI} of Investment Firm Y	{LEI} of Investment Firm Y
7	Buyer identification code	{LEI} of Investment Firm Y	{LEI} of Investment Firm X	{LEI} of Client C
16	Seller identification code	{LEI} of Issuing Company Z	{LEI} of Investment Firm Y	{LEI} of Investment Firm Y
28	Trading date time	'2018-06-26T19:00:00Z'	'2018-06-26T19:00:00Z'	'2018-06-26T19:00:00Z'
29	Trading capacity	'DEAL'	'DEAL'	'DEAL'
30	Quantity	'400'	'300'	'100'
33	Price	'99'	'99'	'99'
36	Venue	'XOFF'	'XOFF'	'XOFF'
59	Execution within the firm	'NORE'	'NORE'	'NORE'

If Issuing Company Z or Clients A, B or C are investment firms they will also need to transaction report.

ESMA_QA_1781

Submission Date

10/10/2017

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014 - Investor Protection and Intermediaries

Topic

Record keeping

Subject Matter

Record keeping

Question

Are securities financing transactions (SFTs) in scope of the MiFID II requirements for order record keeping, as outlined in Article 16(6) of MiFID II and further specified

in Section 8 of the MiFID II Delegated Regulation?

ESMA Answer

10-10-2017

Original language

[ESMA 35-43-349 MiFID II Q&As on Investor protection, Ch. 4, question 2]

Yes. Article 16(6) of MiFID II states that firms “shall arrange for records to be kept of all services, activities and transactions undertaken by it which shall be sufficient to enable the competent authority to fulfil its supervisory tasks and to perform the enforcement actions under this Directive, Regulation (EU) No 600/2014, Directive 2014/57/EU and Regulation (EU) No 596/2014 [...]”. Article 16(6) has a general application and does not provide for exclusions of particular types of transactions. SFTs are therefore inside the scope of the MiFID II record keeping requirements.

ESMA_QA_1694

Submission Date

05/10/2017

Status: Answer Published

Additional Information

Level 1 Regulation

Markets in Financial Instruments Regulation (MiFIR) Regulation (EU) No 600/2014-MDP

Topic

ESMA70-1861941480-56 Questions and Answers on MiFIR reporting

Subject Matter

Financial instruments' volatile attributes

Question

(a) How to complete reference data and transaction reports for financial instruments with a fixed rate that is a volatile attribute.

(b) How to complete reference data and transaction reports for financial instruments with a strike price that is a volatile attribute.

ESMA Answer

05-10-2017

Original language

[ESMA 70-1861941480-56 MiFIR data reporting Q&A, Q&A 14.1]

(a) Where a swap rate or forward rate financial contract is quoted as the fixed rate and it is considered to be an attribute of the transaction rather than an attribute of the financial instrument, the respective reports should be completed as follows:

Transaction report^[1] - the price (field 33) of the transaction should be populated with the fixed rate value. The upfront payment (field 38) should be populated with a value of zero.

Reference data report^[2] - the relevant fixed rate leg (field 43 or 44) of the financial contract should not be populated

The above is applicable to the financial instruments with specific CFI codes for which the fixed rate is considered as a volatile attribute. The [CFI validation document](#) will be kept up to date to reflect that the fixed rate related fields should be non-applicable for the relevant CFI codes.

(b) Where the strike price of a financial contract is considered to be an attribute of the transaction rather than an attribute of the instrument then the respective reports shall be completed as follows:

Transaction report - the price (field 33) of the transaction shall be populated with the strike price value. The upfront payment (field 38) shall be populated with the value of the option premium.

Reference data – the strike price field shall not be populated.

The above is applicable to the financial instruments with specific CFI codes for which the strike price is considered as a volatile attribute. The [CFI validation document](#) will be kept up to date to reflect that this field should be non-applicable for these codes.

If the trading model deviates from (a) and (b) above then the transaction report shall be completed in line with ESMA's published guidelines for transaction reporting, order record keeping and clock synchronisation under MiFID II[3]. In all cases transaction reports must be reported consistently with reference data.

[1] COMMISSION DELEGATED REGULATION (EU) 2017/590 with regard to regulatory technical standards for the reporting of transactions to CAs. Available at the following [link](#)

[2] COMMISSION DELEGATED REGULATION (EU) 2017/585 with regard to regulatory technical standards for the data standards and formats for financial instrument reference data. Available at the following [link](#)

[3] https://www.esma.europa.eu/sites/default/files/library/2016-1452_guidelines_mifid_ii_transaction_reporting.pdf

No hay parametros en la URL.